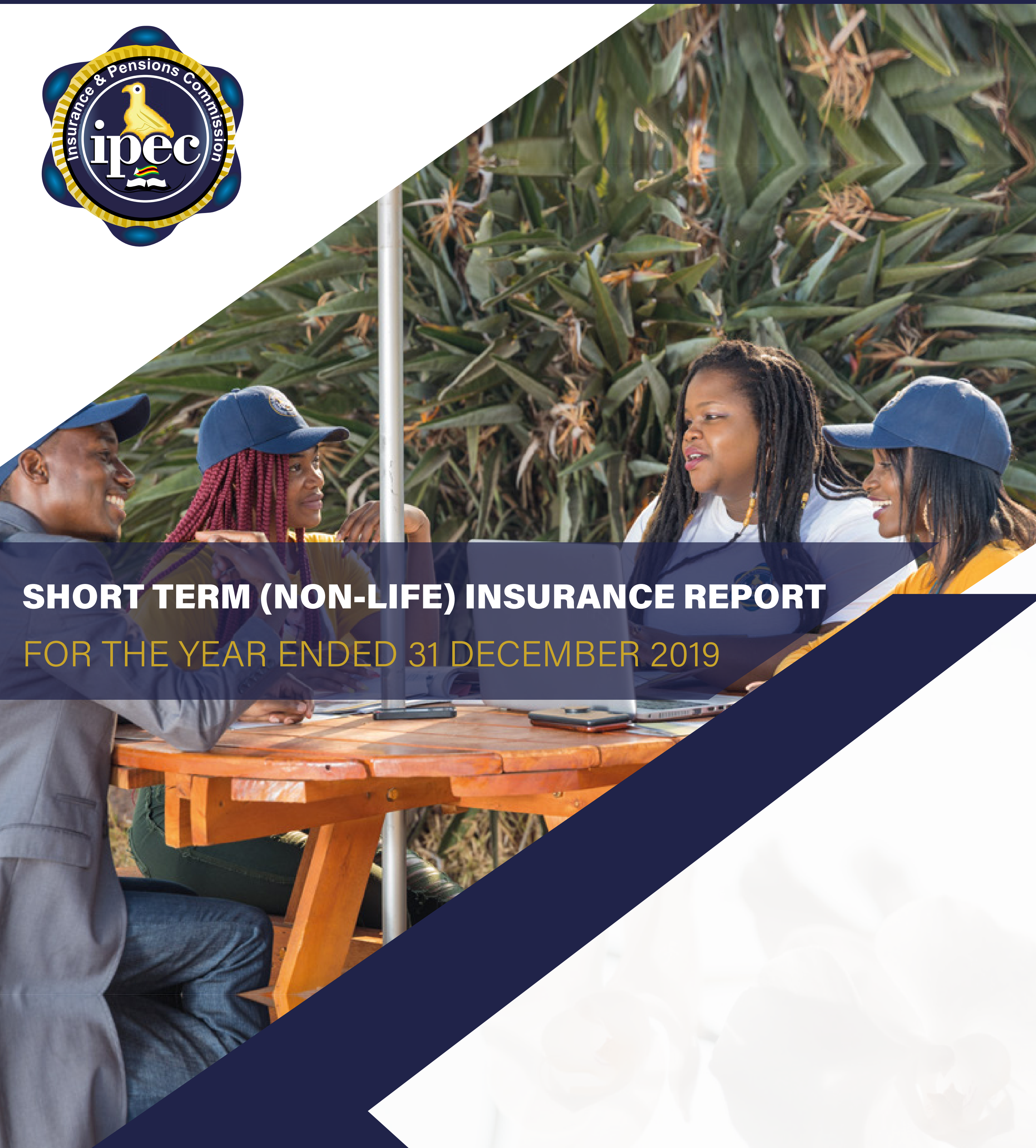
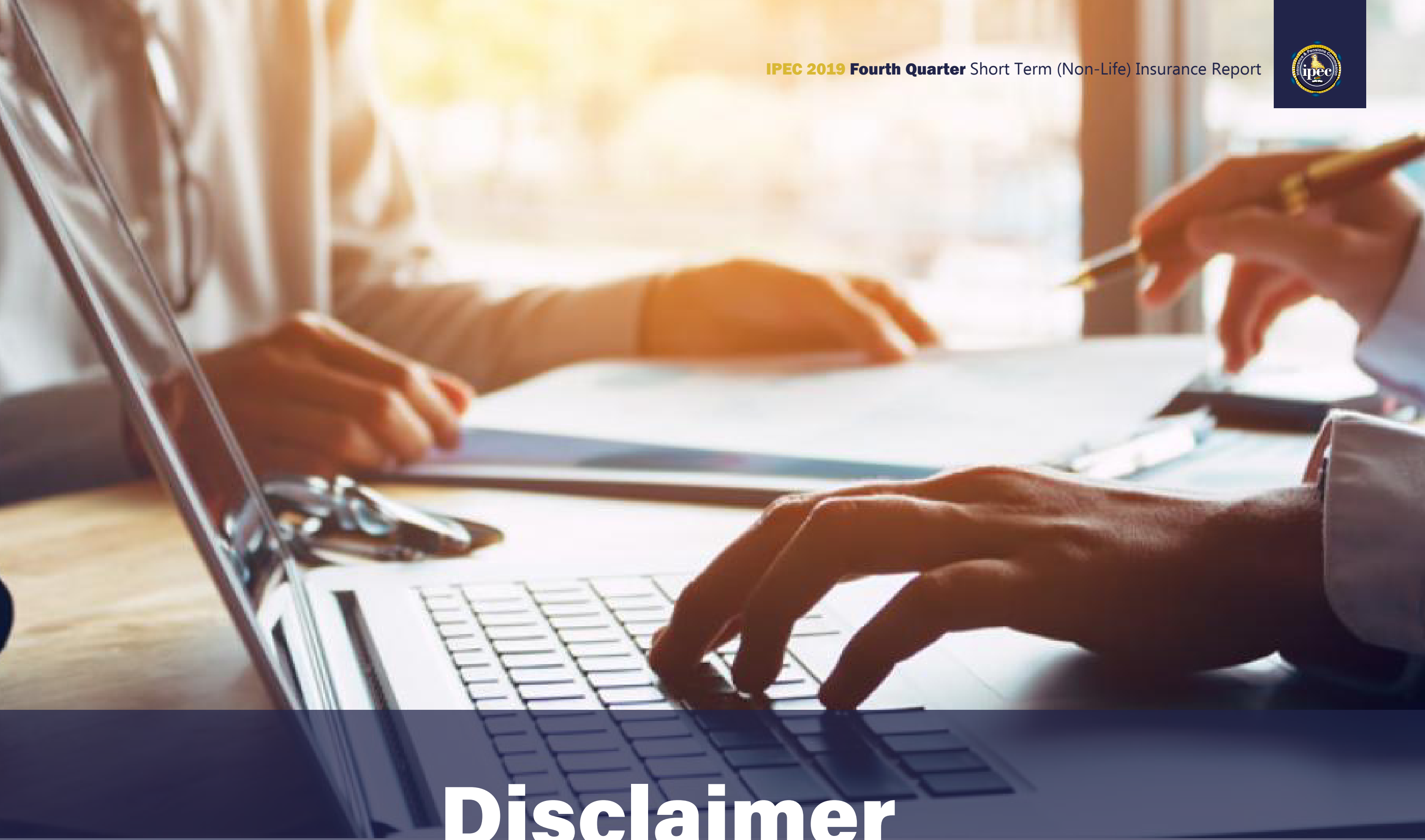


SHORT TERM (NON-LIFE) INSURANCE REPORT

FOR THE YEAR ENDED 31 DECEMBER 2019

www.ipec.co.zw



Disclaimer

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This report relates to short term insurance business written by short term insurance players. Please Note: All Monetary Figures are in ZWL$ except where stated. Figures relating to periods before 22 February 2019 which were originally reported in USD$ were converted into ZWL$ at parity with the United States Dollar in accordance with the provisions of S.I 33 of 2019.

CONTENTS

List of Acronyms and Abbreviations

DAC	- Deferred Acquisition Cost
GPW	- Gross Premium Written
IBNR	- Incurred But Not Reported
IPEC/Commission	- Insurance and Pensions Commission
NEP	- Net Earned Premium
NPW	- Net Premium Written
O/S Claims	- Outstanding Claims
ROA	- Return on Assets
ROE	- Return on Equity
UCR	- Unearned Commission Reserve
UPR	- Unearned Premium Reserve

List of Figures

List of Tables

Executive Summary

The report provides an analysis of the performance of the short-term insurance industry, key economic indicators, investment markets and highlights of the Commission's regulatory activities for the twelve months ended 31 December 2019. Total Gross Premium Written (GPW) by short-term insurers amounted to $1.37 billion for the twelve months ended 31 December 2019, reflecting a 395.71% increase from $277.35 million reported for the comparative period in 2018. The total business written by short-term reinsurers increased from $116.38 million for the twelve months ended 31 December 2018 to $664.90 million for the period under review.

Total assets for short-term insurers increased from $1.20 billion reported as at 30 September 2019 to $1.90 billion as at 31 December 2019. All eighteen (18) insurers reported capital positions which were above $2.5 million as at 31 December 2019. The reported capital positions were computed without accounting for non-admissible assets as stipulated in Statutory Instrument 95 of 2017. At the time of compiling this report, the MCR for insurers was reviewed upwards with short-term insurers having a minimum of $37.5 million. A snap shot of the industry shows that only 11 entities are compliant with the new minimum capital requirement. The Commission has engaged the industry players to submit their roadmaps for compliance by 31 March 2020.

Investments in prescribed assets increased by 26.68% from $193.17 million as at 31 September 2019 to $244.84 million as at 31 December 2019. Only one (1) short term insurer and two (2) reinsurers were compliant with the minimum prescribed asset ratio of 10% as at 31 December 2019. All non-compliant players were advised to submit compliance roadmaps.

Short-term reinsurers had an asset base of $1.13 billion as at 31 December 2019, reflecting a 54.51% increase from the $734.37 million reported as at 31 September 2019. As at 31 December 2019, all the registered short-term reinsurers reported capital positions that were above the minimum capital requirement of $5 million. However, all the short term reinsurers were non-compliant with the recently increased MCR as at 31 December 2019.

During the period under review, the majority of the insurance and reinsurance brokers had regulatory capital which was in excess of the required minimum threshold of $100,000. Based on the new MCR, only fourteen insurance brokers were compliant as at 31 December 2019.

However, in this fourth quarter 2019 report, the reported figures for Ambassador Insurance Brokers, Auto and General Insurance Brokers and Rainbow Insurance Brokers were based on their third quarter 2019 returns. The three insurance broking entities failed to submit their fourth quarter figures to the Commission. In addition, twelve (12) insurance brokers were penalised for late submission of the 2019 fourth quarter returns. The brokers failed to submit their returns to the Commission within the stipulated 21 days after the end of the quarter.

Section A

1. Economic Developments

1.1. World Economic Growth Rates

Global economic growth is projected to have grown by 3% in 2019. Global economic growth prospects continue to be subject to downside risks such as trade barriers emanating from trade wars between the biggest economies of USA and China, geopolitical tensions such as Brexit and slowed productivity and other trade restrictions. While more advanced economies are projected to have grown by 1.7% in 2019, Sub-Saharan Africa region is projected to grow by 3.2%. The following table summarises global economic growth developments and prospects for selected regions and countries.

Table 1 : Global Economic Growth & Outlook (%)

	2020 Projections	2019 Projections	2018
Global Output	**3.4**	**3.0**	**3.6**
Advanced Economies	**1.7**	**1.7**	**2.3**
USA	2.1	2.4	2.9
Euro Area	1.4	1.2	1.9
Japan	0.5	0.9	0.8
Emerging Market & Developing Economies	**4.6**	**3.9**	**4.5**
China	5.8	6.1	6.6
India	7.0	6.1	6.8
Sub-Saharan Africa	**3.6**	**3.2**	**3.2**
SADC	3.6	2.6	3.2
South Africa	1.1	0.7	0.8
Zimbabwe*	**3.0**	**-6.5**	**3.4**

Source: IMF World Economic Outlook, *Ministry of Finance and Economic Development and RBZ projections

1.2. Sub-Saharan Africa

Across Sub-Saharan Africa, growth is estimated to improve from 3.2% in 2019 to 3.6% in 2020. The major sources of economic obstacles in developing economies continue to be climate-induced challenges such as droughts, cyclones and floods. Recovery in commodity prices such as oil is expected to support growth prospects in oil producing countries.

1.3. Domestic Economy Outlook

The country's economy is estimated to have contracted by -6.5% in 2019, with prospects for growth of 3.0% in 2020. The negative growth was mostly on account of climate change induced challenges such as the 2018/19 drought related food insecurity, depressed electricity generation, negative impact of Cyclone Idai and macroeconomic challenges which included foreign currency supply bottlenecks, currency devaluation and inflationary spikes. In response to the macroeconomic and climate induced challenges, most sectors of the economy recorded negative growth rates in 2019.

Regardless of the challenges militating against growth efforts, month-on-month inflation slowed down during the second half of the year closing the year at 16.6% as at December 2019. The slowdown in inflation was on account of adoption of a mono-currency regime in conjunction with corrective measures in the foreign exchange market.

1.4. Currency Reforms

2019 marked the restoration of the monetary policy following the re-introduction of a mono-currency regime.

The currency journey map from 2009 is as shown in Figure 1 as below: -

Figure 1: Currency Journey Map

1.5. Exchange Rate Developments

During the period under review, exchange rate fluctuations continued to sway the pricing of goods and services in the economy. Volatility in the foreign exchange market continued to weigh down the capacity of industry players to meet contractual obligations and meet reasonable policyholder and fund member expectations thereby undermining confidence in the sector.

The following table illustrates trends in the exchange rate and month-on-month inflation during the period under review.

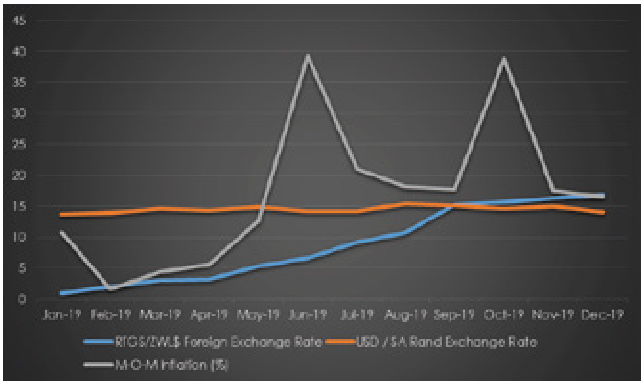
Table 2 : 2019 Exchange Rate and Month-on-Month Inflation Movements

Month	RTGS / ZWL$ Foreign Exchange Interbank Market Rate*	USD/South African Rand **	Month on Month Inflation*
January 2019	1	13.38	10.75%
February 2019	2.50	13.94	1.67%
March 2019	3.01	14.57	4.38%
April 2019	3.26	14.35	5.52%
May 2019	5.26	14.81	12.54%
June 2019	6.62	14.14	39.26%
July 2019	9.19	14.14	21%
August 2019	10.71	15.33	18.10%
September 2019	15.19	15.14	17.70%
October 2019	15.67	14.63	38.75%
November 2019	16.31	14.94	17.46%
December 2019	16.77	14.04	16.55%

Source: Reserve Bank of Zimbabwe

Figure 2 below illustrate trends in the exchange rates and month on month inflation during the period under review.

Figure 2 : 2019 Exchange Rate and Month-on-Month Inflation Trends



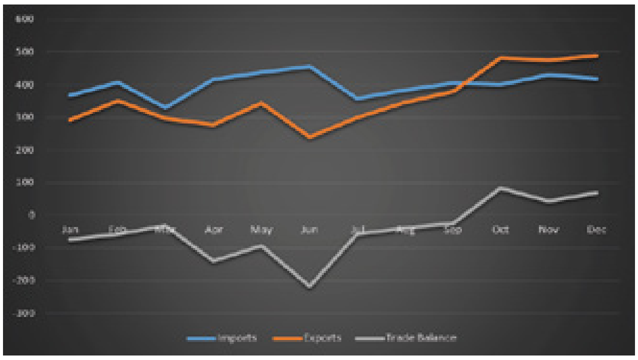
Source: RBZ; *Zimstat and ** www.marketwatch.co.zw

1.6. Trends in Month-on-Month Inflation

As shown in Table 2 and Figure 2 above, month-on-month inflation spiked in June 2019 and October 2019, stabilising between August and September and November and December 2019 due to fiscal discipline by treasury and monetary interventions.

Despite the spikes, the inflation rate slowed down towards the end of 2019 on account of fiscal discipline, exchange rate stabilisation measures by the RBZ and stability in the external trade balance. The following Figure 3 shows the 2019 external trade balance for Zimbabwe.

Figure 3 : 2019 Zimbabwe External Trade Balance

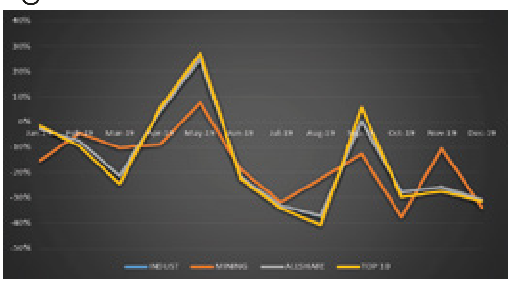


Source: www.equityaxis.net

1.7. Performance of the Zimbabwe Stock Exchange (ZSE)

During the period January to December 2019, the ZSE witnessed negative real returns on all counters albeit a generally bullish trend.

The introduction of currency reforms was characterised by disinvestments by some foreign investors. The performance of the ZSE during the year is depicted in the Figure 4 shown on below.



Source: Zimbabwe Stock Exchange

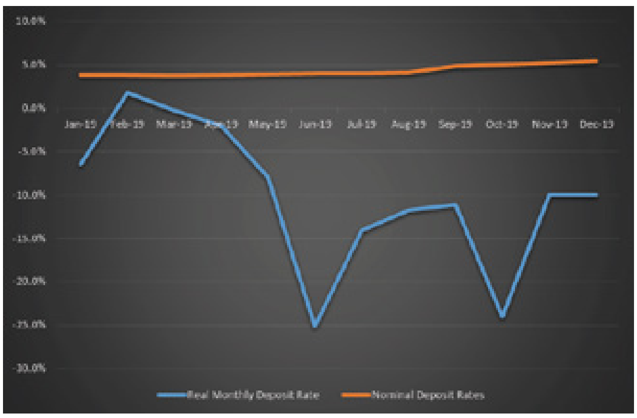
Equities are generally regarded as value preserving instruments ahead of money market instruments. However, the real returns on the ZSE were mainly on the negative side during the year thereby weighing down investment appetite. In this regard, ZSE institutional investors the bulk of whom are insurance companies and pension funds had negative returns from such investments.

1.8. Performance of Money Market Investments

Real returns on money market investments were in the negative territory whilst nominal deposit interest rates continued to be flat during the year. Although the market remained in the negative, there were slight improvements during the three months of July, August and September before taking a dip in October 2019. The market showed signs of stability during November and December albeit the negative real returns. The signs of stability in the money market could have been on the back of regulatory interventions by the Reserve Bank of Zimbabwe that included the sharp increase of minimum lending rates from 10-15% to 50%.

Figure 5 below shows the performance of Money Markets investments.

Figure 5 : 2019 Average Monthly Real and Nominal Deposit Rates

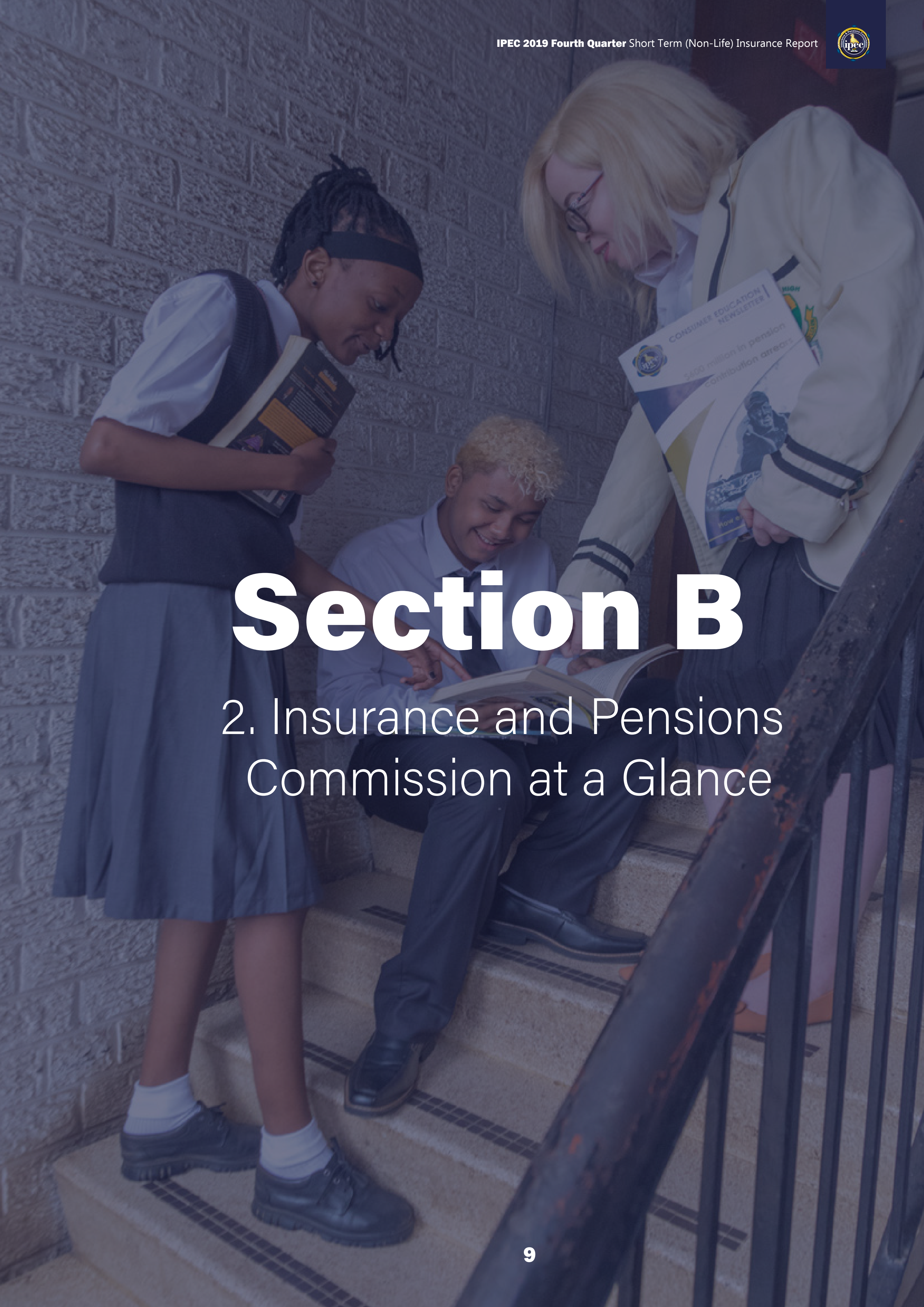


Source: Reserve Bank of Zimbabwe

1.9. Trends in Real Estate Market

Performance in the real sector continues to be depressed owing to perceived uncertainties related to currency changes and currency instability. Resultantly, most sellers are withholding their properties as a precautionary measure to preserve value.

Notwithstanding that, income adjustments lag behind inflation rates. Property owners continue to either hike their rentals to cushion themselves against inflationary pressures or now prefer holders of free funds as tenants. This trend has resulted in low occupancy as tenants either relocate to cheaper places or down-scale office space.



Section B

2. Insurance and Pensions Commission at a Glance

2.1. Introduction

The Insurance and Pensions Commission (IPEC) is a statutory body mandated with regulating, supervising and developing the insurance and pensions industry for the protection of policyholders and pension scheme members in Zimbabwe. This report outlines industry developments and IPEC's various activities in the short-term insurance industry consistent with its statutory mandate for the 12 months ended 31 December 2019.

2.2. Terms of Reference

The activities of the Commission are guided by the following Acts and their Regulations:

- Insurance and Pensions Commission Act [Chapter 24:21]
- Pension and Provident Funds Act [Chapter 24:09]
- Insurance Act [Chapter 24:07]
- Money Laundering and Proceeds of Crime Act [Chapter 09:24]
- Finance Act [Chapter 23:04]
- Public Entities and Corporate Governance Act [Chapter 10:31]
- Public Finance Management Act [Chapter 22:19]
- Public Procurement and Disposal of Public Assets Act [Chapter 22:23]

During the year under review, the following activities and programs were undertaken by the Insurance and Pensions Commission.

2.3. Complaints Resolution Report

To improve accessibility by the members of the public, pensioners and policyholders IPEC established new offices in the Central Business District (CBD) housing the Complaints Handling Unit. During the quarter under review, the Commission received 27 complaints, 16 of which were resolved while 11 were classified as pending. Pending complaints include those that were referred to policyholders for more information, those that were still under investigation by the insurer and those that were still being processed at the end of the quarter.

Table 3 below depicts the nature of complaints relating to short-term insurance.

Table 3 : 2019 Fourth Quarter Complaints

Nature of complaints	Number of complaints	% of total
Application of average on motor insurance policy	8	30%
Delay in settlement of claims	12	44%
Treatment of USD-denominated policies	7	26%
Total	**27**	**100%**

The Commission resolved most of the complaints relating to delays in the settlement of claims by engaging the insurers complained against, resulting in claims being settled.

The resolution of the complaints on the application of the condition of average mainly centred on the agreements between policyholders and insurers in relation to valuation of the motor vehicles. Resolution of this nature of complaint mostly focussed on compromises from both sides. The Commission noted that many such complaints, emanated from lack of awareness on the part of policyholders, that it is their duty to ensure that their motor vehicles are adequately covered at all times to avoid underinsurance.

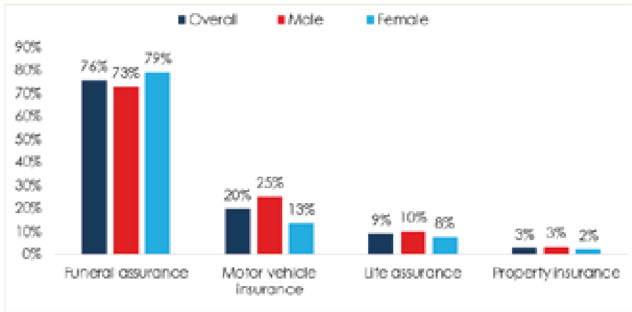
Insurers are therefore, urged to educate their policyholders on the need to regularly revalue their assets in line with changes in the operating environment. In this regard, the Commission also continues to educate members of the public to carefully read the terms and conditions of their policy documents so that they are aware of their rights and responsibilities.

In relation to complaints relating to the treatment of US$ denominated policies, the Commission was guided by the provisions of the Statutory Instrument 142, which gave effect to the return of the Zimbabwean dollar, Circular 8 of 2019, issued by the Exchange Control and Circular 13 of 2019 issued by the IPEC.

2.4. Insurance Awareness and Uptake

The Commission undertook a survey on insurance awareness during the last quarter of 2019. According to the survey, about 71% of Zimbabweans know about insurance while only 34% have some form of formal insurance. However, of the insured Zimbabweans, 76% have funeral assurance, followed by motor vehicle insurance at 20%. The major sources of insurance awareness are television, radio and family. Figure 6 below shows the insurance uptake levels in Zimbabwe.

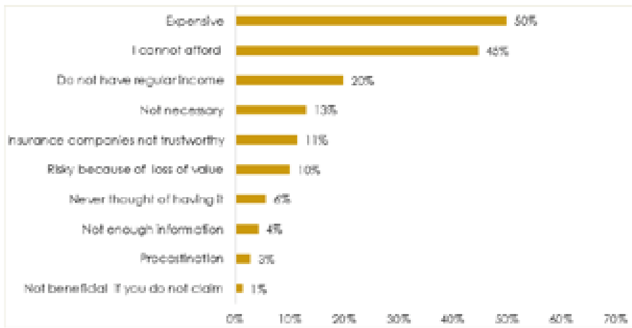
Figure 6 : Insurance uptake



2.5. Barriers to getting insurance

According to the survey, key barriers to insurance uptake relate to affordability is depicted in Figure 7 shown below.

Figure 7 : Barriers to Insurance Uptake



2.6. Customer Satisfaction Index

According to the survey, the overall customer satisfaction index for 2019 based on customer experience, ability to pay claims, paying claims on time and reasonable premiums stood at 55%. This was based on policyholders who had claimed before.

2.7. Guidance Paper on Currency Reforms and Revaluation Gains

Following the recent currency reforms, the Commission issued a Guidance Paper on Currency Reforms and Revaluation Gains to guide the apportionment of revaluation gains between policyholders and shareholders. The Guidance Paper was issued ahead of the gazetting of the relevant Statutory Instrument by the Minister of Finance and Economic Development for industry players to prepare. The Guidance Paper is aimed at guiding the industry.

2.8. Zimbabwe Integrated Capital and Solvency Programme

Implementation of the ZICARP project is on-going with the consultants now finalising the Quantitative Impact Study (QIS).

Pillar 3 of the project relating to Disclosure Guidelines has now been finalised and the Guidelines have now been issued to the industry.

2.9. Implementation of International Financial Reporting Standard 17

Since the standards were held in abeyance pending further guidance from the Public Accountants and Auditors Board (PAAB), the Commission shall update the industry on any further developments.

2.10. Financial Inclusion Initiatives

The National Financial Inclusion Strategy (2016 – 2020) is coming to an end in December 2020. For IPEC, milestones in the insurance and pension industry include:

- Development of a micro insurance regulatory framework;
- Registration of micro insurance players and microinsurance products for both microinsurers and conventional insurers;
- IPEC working towards the development of weather index-based insurance regulatory framework. The process will start with a mapping study of weather indexed-based insurance products, index insurance capacity building for IPEC staff followed by the development of a regulatory framework for weather indexed insurance;
- The Commission also undertook Consumer Education Programmes in the form of radio and televised educational programmes, exhibitions, workshops and roadshows; and
- Use of digital and social media platforms was also adopted to educate the public about insurance matters, training of journalists on insurance reporting to capacitate journalists so that they can report objectively, as well as participating in the Global Money Week commemorations.

2.11. Anti-Money Laundering and Combating of Financing of Terrorism

The 2019 National Risk Assessment Report has been finalised. The Assessment indicates that the insurance and pension industry is generally a low risk area in terms of money laundering. The results of the National Risk Assessment were incorporated into the NRA Report which is due to be launched by Government any time soon.

Section C

3. Architecture of the Short-term Insurance Industry

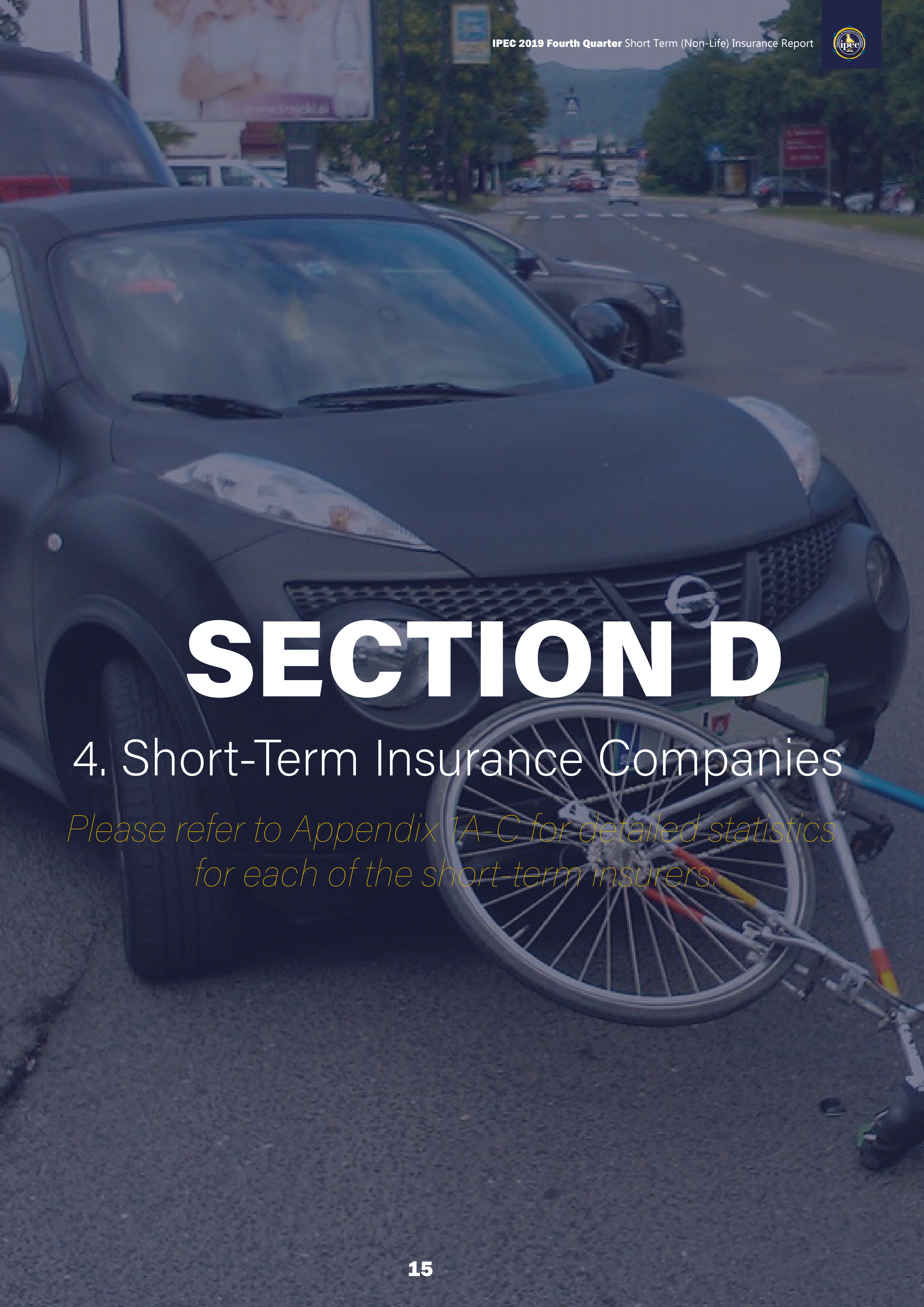
3.1. Short-term Insurance Industry

There were six hundred and ninety-seven (697) registered entities/persons in the short-term insurance industry as at 31 December 2019. The architecture of the industry is as shown in Table 4 below:

Table 4 : Architecture of the Short-term Insurance Industry

Type of Institutions	Number of Registered Entities/Persons as at....	
	30-Dec-19	31-Dec-18
Insurance Companies*	18	20
Microinsurers	1	2
Reinsurance Companies**	8	8
Underwriting Management Agencies	2	2
Insurance Brokers	32	32
Reinsurance Brokers	7	7
Loss Assessors	36	35
Corporate Agents	133	122
Sole Agents	460	447
Total	**697**	**675**

* Two insurers namely FBC Insurance Company and Alliance Insurance Company are composite insurers, however the figures in this report pertain to their short -term business only.
**Five reinsurers namely Emeritus Reinsurance Company, FBC Reinsurance Company, First Mutual Reinsurance Company, Grand Reinsurance Company and PTA Reinsurance Company (Zep Re) are composite reinsurers who also write life business. However, the figures in this report pertain to their short term business only.



SECTION D

4. Short-Term Insurance Companies

Please refer to Appendix 1A-C for detailed statistics for each of the short-term insurers.

4.1. Performance in Terms of Business Written

Gross Premium Written (GPW) by short-term insurers amounted to $1.37 billion, reflecting a 395.71% increase from $277.35 million reported for the comparative period in 2018. Figure 8 below shows the trend in volume of the business generated by short-term insurers since 2015:

Figure 8: Trend in Written Business

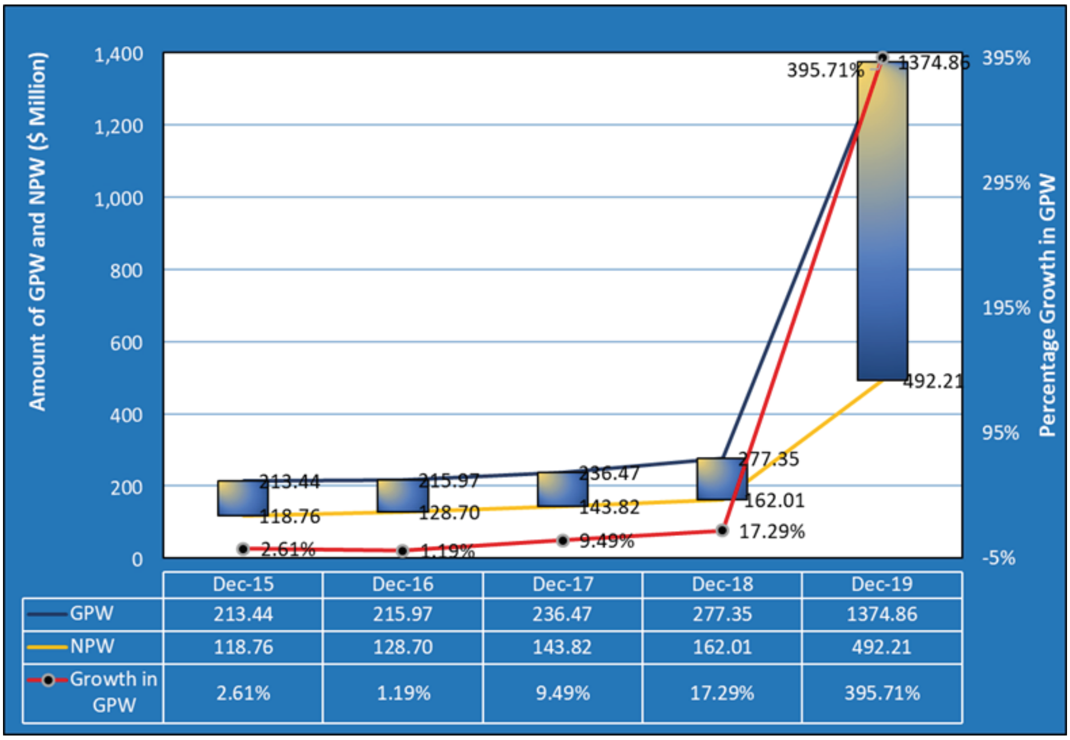


Table 5 below shows the percentage growth in GPW for different classes of business:

Table 5 : Short-Term Insurers' GPW by Class of Business

Class of Business	31-Dec-19	31-Dec-18	Percentage Change
Aviation	8,541,091	1,595,716	435.25%
Bonds/Guarantee	89,565,628	16,727,776	435.43%
Engineering	88,555,273	15,070,049	487.62%
Farming	27,083,775	8,080,617	235.17%
Fire	325,492,952	57,836,076	462.79%
Hail	67,389,949	1,109,797	5972.28%
Health	-	-	-
Hire Purchase	11,271,643	3,545,061	217.95%
Marine	38,321,057	6,238,395	514.28%
Miscellaneous Accident	92,954,364	15,027,329	518.57%
Motor	479,729,945	123,539,636	288.32%
Personal Accident	94,729,144	24,797,812	28201%
Public Liability	51,229,699	3,782,076	1254.54%
Total	**1,374,864,520**	**277,350,340**	**395.71%**

Fire, Motor, and personal accident insurance classes were the largest sources of business in terms of GPW as shown in Table 5 above. These three business classes accounted for a total of 65.46% of total GPW during the twelve months ended 31 December 2019.

4.2. Capitalisation

All eighteen (18) insurers reported capital positions which were above $2.5 million as at 31 December 2019. The reported capital positions were computed without accounting for non-admissible assets as stipulated in Statutory Instrument 95 of 2017. However, following the increase in the Minimum Capital Requirements (MCR) in the 2020 National Budget Statement, the Commission awaits gazetting of the relevant Statutory Instrument to give effect to the new MCR. Based on the new MCR, only eleven entities were compliant. The capital positions reported by short-term insurers for the twelve months ended 31 December 2019 are shown in Table 6 below:

Table 6 : Reported Capital Positions for Short-term Insurers

Name of Insurance Company	Reported Capital Position ($)	
	31-Dec-19	1-Dec-18
1.Alliance Insurance Company	90,725,122	8,853,684
2.Allied Insurance Company	46,704,681	2,005,075
3.C.B.Z Insurance Company	35,031,328	7,676,261
4.Cell Insurance Company	55,751,919	6,739,024
5.Champions Insurance Company	17,237,534	2,286,084
6.Clarion Insurance Company	15,748,056	1,456,980
7.Credit Insurance Zimbabwe	31,918,197	4,383,392
8.Econet Insurance Company	47,669,380	6,079,461
9.Evolution Insurance Company	85,468,220	4,953,522
10. ECGC	16,614,191	14,234,779
11. FBC Insurance Company	45,203,994	7,511,667
12. Hamilton Insurance Company	26,479,911	4,650,389
13. Nicoz Diamond Insurance Company	102,388,016	16,391,923
14. Old Mutual Insurance Company	149,251,390	49,636,915
15. Quality Insurance Company	22,577,000	3,841,000
16. Safel Insurance Company	71,231,681	5,124,983
17. Sanctuary Insurance Company	38,466,486	5,904,661
18. Zimnat Lion Insurance Company	54,231,087	14,865,556

4.3. Asset Quality

Total assets for short-term insurers increased from $1.20 billion as at 30 September 2019 to $1.90 billion reported as at 31 December 2019. The increase in assets is mainly attributable to fixed asset revaluations which grew by 49.18% from $331.16 million as at 30 September 2019 to $494.07 million as at 31 December 2019.

Premium debtors rose significantly by 53.35% from $260.39 million as at 30 September 2019 to $399.31 million for the twelve months ended 31 December 2019. The increase in premium debtors reflects deterioration in credit risk-management by short-term insurers.

Investments in prescribed assets increased by 59.76% from $22.67 million as at 31 September 2019 to $36.22 million as at 31 December 2019. Only one (1) out of the eighteen (18) short-term insurers was compliant with the minimum prescribed asset ratio of 10%. Appendix 1C shows other indicators of asset quality.

4.4. Reinsurance.

The industry's average retention ratio declined from 58.41% for the twelve months ended 31 December 2018 to 35.80% for the year ended 31 December 2019. This shows a decrease in risk appetite by the short term insurance. Retention ratios for individual insurers ranged from 9.56% to 98.95%.

The average reinsurance creditors to reinsurance premium ratio was 28.73% as at 31 December 2019, compared to 22.91% reported as at 31 December 2018. (See Appendix 1C for more indicators).

4.5. Actuarial Matters

The short-term insurance industry reported 80.15% increase in total technical liabilities from $281.87 million as at 31 September 2019 to $507.80 million as at 31 December 2019. The average liquid assets to total technical reserves ratio for the period under review was 82.08% as compared to 147.95% for the

previous comparative period.
However, some insurers reported ratios which were significantly below 100%. (See Appendix 1C for the performance indicators of insurance companies in terms of Actuarial matters).

4.6. Earnings

The short-term insurers reported total after tax profit increase of 766.99% from $41.47 million for the twelve months ended 31 December 2018 to $359.52 million as at 31 December 2019. The significant increase in total after tax profit for the short-term insurance players was mainly driven by movements in unrealised gains as well as currency reforms.

There was a slight movement in the combined ratio for the short-term insurers from 94.75% for the twelve months ended 31 December 2018 to 91.03% for the period under review. Generally, a combined ratio of below 100% indicates that the insurers are making underwriting profits while the opposite is true for a ratio above 100%. Underwriting profit increased by 329.07% from $8.28 million as at 31 December 2018 to $35.51 million during the comparative period in 2019.

The industry's average return on assets (ROA) and return on equity (ROE) were 34.40% and 67.62% respectively for the period under review. (For more performance indicators on profitability refer to Appendix 1C under earnings).

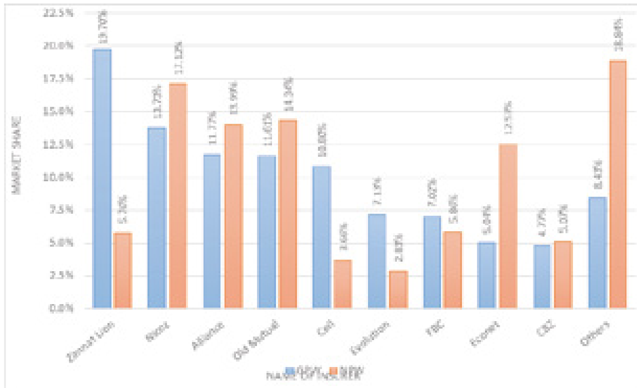
4.7. Liquidity

Total cash and near cash assets in the form of money market and short-term prescribed assets increased from $197.46 million as at 31 September 2019 to $321.77 million as at 31 December 2019. Individual insurers` acid test ratios as at 31 December 2019 ranged from 4.83% to 1,097.53% as shown in Appendix 1C.

4.8. Market Share for Short-term Insurers

Zimnat Lion, Nicoz Diamond and Alliance were the market leaders in terms of GPW with a combined market share of 45.20% for the twelve months ended 31 December 2019. Figure 9 below shows market share in terms of GPW and NPW for all insurers:

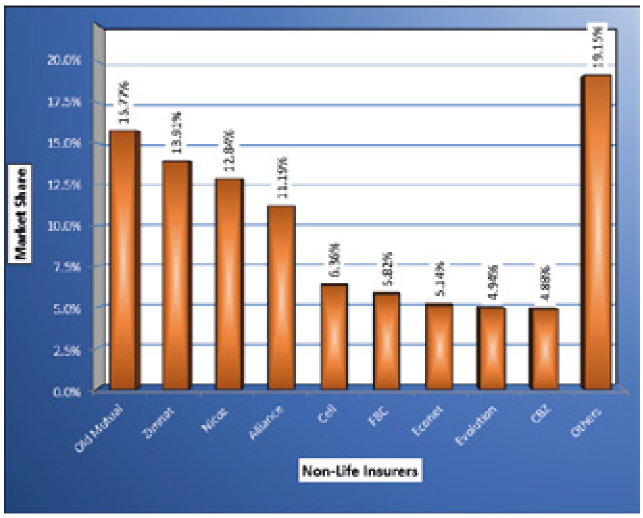
Figure 9 : Market Share for Short Term Insurers in Terms GPW and NPW



*Others comprises of Allied, Champions, Clarion, Credure, ECGC, Hamilton, Quality, Safel and Sanctuary.

In terms of total assets, Old Mutual, Zimnat and Nicoz Diamond were the market leaders with a combined market share of 43.46% as shown in Figure 10 below:

Figure 10 : Market Share for Short-Term Insurers in Terms of Total Assets



*Others comprises of Allied, Champion, Clarion, Credure, ECGC, Hamilton, Quality, Safel and Sanctuary.

SECTION E

5. Reinsurance Companies

Please note that the figures for PTA Reinsurance Company (Zep-Re) contained in this report are only for the institution's Regional Hub Office located in Zimbabwe.

Detailed statistics for all reinsurers are shown in Appendix 2A-C.

5.1. Performance in Terms of Business Written

The total business written by short-term reinsurers increased from $116.38 million for the twelve months ended 31 December 2018 to $664.90 million for the period under review. The increase is attributable to premium increases on the back of inflationary currency reforms and the reintroduction of the Zimbabwe dollar. Figure 11 below shows the trend in volume of annual business written by short term reinsurers from 2015 to 2019:-

Figure 11 : Trend in Business Written

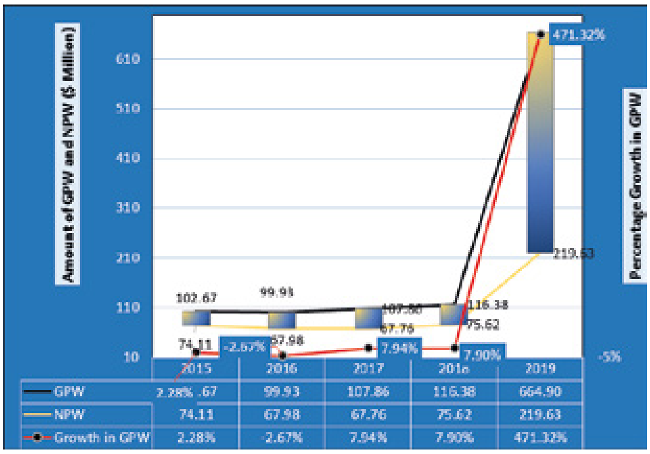


Table 7 : ReInsurers' GPW by Class of Business

Class of Business	Gross Premium Written		Percentage Change
	31-Dec-19	31-Dec-18	
Aviation	17,378,375	1,510,790	1050.28%
Bonds/Guarantee	6,761,102	720,668	838.17%
Engineering	48,594,914	7,244,572	570.78%
Farming	12,176,536	6,833,151	78.20%
Fire	279,146,138	45,306,618	516.13%
Hail	1,355,953	1,312,460	3.31%
Health	1,462,205	2,038,661	-28.28%
Hire Purchase	105,836	0	100.00%
Marine	17,976,443	2,765,199	550.10%
Miscellaneous Accident	58,419,595	20,255,765	188.41%
Motor	165,093,315	19,669,445	739.34%
Personal Accident	50,189,624	6,569,989	663.92%
Personal Liability	6,244,151	2,148,741	190.60%
Total	**664,904,187**	**116,376,059**	**471.34%**

As shown in Table 7 above, fire, motor and accident insurance business classes were the major contributors to the reinsurance industry's Gross Premium as they contributed 83.15% of the overall business written for the twelve months ended 31 December 2019.

5.2. Capitalisation.

As at 31 December 2019, all the registered short-term reinsurers reported capital positions which were above the minimum capital requirement of $5 million.

However, these reported capital positions were not adjusted in line with the provisions of Statutory Instrument (SI) 95 of 2017 which, among other things, discounts non-permissible assets. However, none of the reinsurers was compliant with the new MCR of $75 million. See Table 8 below.

Table 8 : Reported Capital Positions for Short-Term Reinsurers

Reinsurance Company	Reported Capital Position ($)	
	31-Dec-19	31-Dec-18
1. Emeritus Re.	5,115,043	38,313,435
2. FBC Re.	38,313,435	15,607,315
3. FM Re.	15,607,315	9,363,092
4. Grand Re	9,363,092	10,348,374
5. Tropical Re	10,348,374	5,420,730
6. WAICA Re	5,420,730	5,115,043
7. PTA Re.	6,870,596	6,870,596
8. ZB Re.	12,404,780	12,404,780

Key:

	The reinsurer reported a capital position which was above $5 million.
	The reinsurer reported a capital position which was below $5 million.

The average solvency margin for short-term reinsurers was 143.61% as at 31 December 2019, which was above 136.80% reported as at 31 December 2018.

All the reinsurers were compliant with the minimum solvency margin of 25% stipulated in Section 24(1a) (ii) of the Insurance Act [Chapter 24:07].

The solvency margin for individual reinsurers as at 31 December 2019 ranged from 74.41% to 404.15% as shown in appendix 2C.

5.3. Asset Quality

Short-Term reinsurers had an asset base of $1.13 billion as at 31 December 2019, reflecting a 54.51% increase from the $734.37 million reported as at 31 September 2019. The growth in assets of the reinsurers was mainly as a result of property revaluations, equities and increase in premium debtors.

Investments in prescribed assets improved from $170.49 million as at 31 September 2019 to $208.62 million as at 31 December 2019. However, only two (2) out of eight (8) reinsurers were compliant with the requisite prescribed asset threshold of 10% as at 31 December 2019. The prescribed assets compliance thresholds for the short-term reinsurers is shown in Appendix 2C.

Premium receivables rose from $156.17 million as at 31 September 2019 to $242.37 million as at 31 December 2019, indicating a percentage increase of 55.19%. This signifies weakening credit risk management practices and the players are encouraged to ensure they monitor the risk and design control mechanisms to reduce its impact.

5.4. Actuarial Matters

Total technical liabilities increased from $141.78 million as at 31 September 2019 to $265.86 million as at 31 December 2019. The largest proportion of total reserves was attributable to Gross Outstanding Claims and Unearned Premium Reserves, which amounted to $239.12 million and accounted for 89.94% of the total technical liabilities.

5.5. Retrocession

The industry's average retention ratio was 66.97% for the twelve months ended 31 December 2019 compared to 64.98% that was reported for the comparative period in 2018. This continuously reflects a general increase in risk appetite by the reinsurance companies as reported in the previous quarter ending 31 September 2019. The individual reinsurers reported retention ratios ranging from 42.94% to 93.18% for the period under review.

5.6. Earnings

Total profit after tax for short-term reinsurers increased from $10.68 million for the period ended 31 December 2018 to $468.61 million for the period ended 31 December 2019. The significant contributor to the increase in the profit were unrealised gains from assets. The increase in unrealised gains was mainly caused by exchange rate driven inflation which resulted in an upward adjustment in most investment vehicles.

The average combined ratio for the short-term reinsurers increased from 96.73% for the twelve months ended 31 December 2018 to 106.82% for the same period under review. The negative movement in the combined ratio resulted from a gradual increase in incurred losses and expenses which reflects an underwriting loss of $24.22 million for the twelve months ended 31 December 2019. The combined ratio and other ratios that relate to profitability for short term reinsurers is shown in Appendix 2C under earnings.

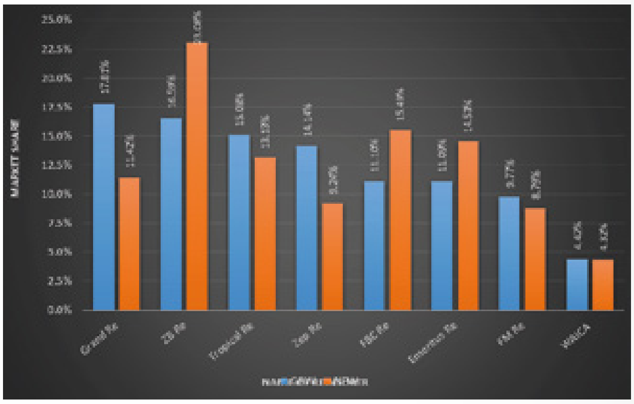
5.7. Liquidity

Liquid assets held by short-term reinsurers increased from $395.76 million as at 30 September 2019 to $539.56 million as at 31 December 2019. The average acid test ratio for individual short term reinsurers rose from 90.99% as at 31 December 2018 to 117.75% as at 31 December 2019. The acid test ratios for short term reinsurers is shown on Appendix 2C under liquidity.

5.8. Market Share for Reinsurers

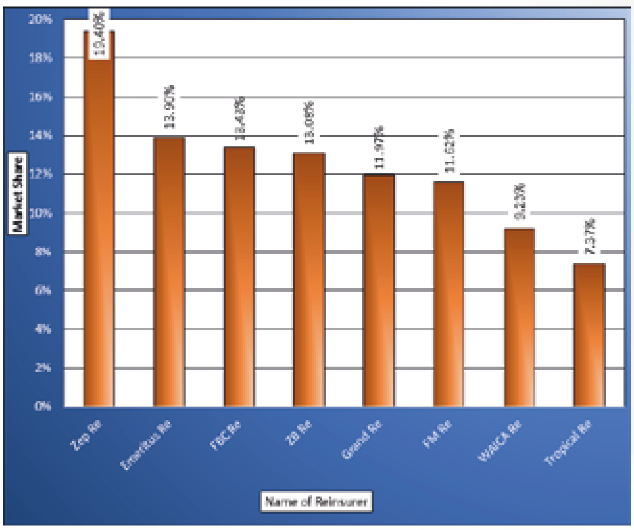
As shown in Figure 12 below, the market leaders in terms of Gross Written Premium (GWP) were Grand Re, ZB Re and Tropical Re. These reinsurers reportedly controlled 49.48% of Gross Premium Written (GPW) for the twelve months ended 31 December 2019.

Figure 12 : Market Share for Short Term Reinsurers in Terms of GPW and NPW



In terms of market share based on total assets, Zep-Re, Emeritus Reinsurance Company and FBC Re were the market leaders, with a combined market share of 46.73%. Figure 13 below shows the market shares of each reinsurer in terms of total assets as at 31 December 2019.

Figure 13 : Market Share for Short Term Reinsurers in Total Assets



SECTION F

6. Insurance Brokers

6.1. Business Written

For the year ended 31 December 2019, Insurance brokers wrote $539.64 million in premium income. This represented a 347.91% increase in business written compared to $120.48 million reported in 2018. Insurance brokers recorded $83.54 million net brokerage commission since 01 January 2019. Increased business volumes reported by insurance brokers are mainly because of gradual increases premiums in line with inflationary trends.

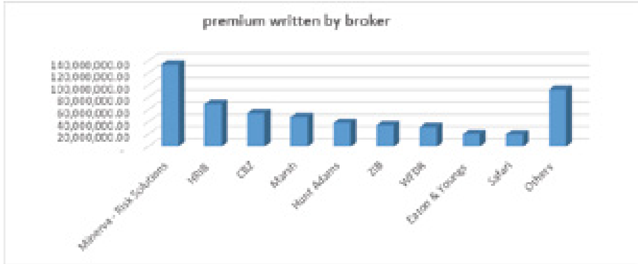
The total commission translated to an industry average commission rate of 16.83% for the year ended 31 December 2019, a slight increase from the 16.94% reported in the prior year. The Commission, however, continues to urge all insurance brokers to use only registered intermediaries to avoid breaching laws and attracting regulatory fines and penalties. Table 9 below shows key indicators for the business written by the insurance brokers.

Table 9 : Indicators of Business Written for Insurance Brokers

Indicator	31-Dec-2019 ($)	31-Dec 2018 ($)	% change
Premium Written	539,644	120,478	347.92%
Premium Payable	**446,683**	**100,066**	**346.39%**
Brokerage Commission	92,961	20,412	355.42%
Commission Paid	**9,837**	**1,196**	**722.49%**
Net Brokerage Commission	83,124	19,216	332.58%
Other Income	22,532	926	2333.26%
Operating Expenses	**64,093**	**17,955**	**256.96%**
Profit Before Tax	41,563	2,187	1800.46%
Taxation	**8,669**	**436**	**1888.30%**
Profit After Tax	**32,894**	**1,751**	**1778.58%**

As can be seen from Figure 14 below, the top ten brokers accounted for 83% of the total cumulative premium written for the fourth quarter ended 31 December 2019. The market leaders in terms of premium written were Minerva-Risk Solutions which wrote business of $133, 61 million which accounted for 25% of the business written in the period under review.

Figure 14 : Premium Written by Brokers



6.2. Capitalisation

For the year ended 31 December 2019, five insurance brokers reported capital positions that were below the required minimum of $100,000. The capital positions for the lowest and highest insurance brokers ranged from negative $9.99 million to $19.28 million, respectively as shown in Table 10 below:

Table 10 : Reported Capital Levels for Insurance Brokers

Name of Insurance Company	30-Dec-19	30-Dec-18
1. Ambassador Insurance Brokers	101,654	102,431
2. Amour Khan Insurance Brokers	140,645	145,986
3. Auto & General Insurance Brokers	392,300	395,800
4. Broksure Insurance Brokers	139,168	120,104
5. Capitol Insurance Brokers	4,462,105	602,469
6. Care Insurance Brokers	848,414	303,079
7. CBZ Risk	7,832,099	762,134
8. Coverlink Insurance Brokers	1,652,723	101,397
9. Eaton & Youngs (Private) Limited	6,582,645	642,257
10. Eureka Insurance Brokers	775,422	310,233
11. Entwide	205,104	117,151
12. First Link Insurance Brokers	(125,447)	-
13. First Sun Alliance	3,055,525	377,404
14. Glenrand MIB Zimbabwe	3,200,574	327,839
15. Goldstick Insurance Brokers	4,468,099	245,172
16. Hostcare Insurance Brokers	12,414	100,843
17. HRIB (Private) Limited	11,527,118	521,743
18. Hunt Adams & Associates	1,927,954	389,001
19. L. A. Guard Insurance Brokers	1,757,183	259,822
20. Marsh Insurance Brokers	(9,992,838)	1,179,527
21. Minerva Risk Solutions	19,285,079	2,160,182
22. Momentum Insurance Brokers	1,036,723	421,939
23. Paul Mkondo Insurance Brokers	172,109	169,290
24. Perpro Insurance Brokers	631,162	246,236
25. Progressive Insurance Brokers	97,840	582,124
26. Rainbow Insurance Brokers	15,551	15,159
27. Revival Insurance Brokers	470,000	485,450
28. SATIB Insurance Brokers	1,970,829	533,970
29. TIB Insurance Brokers	449,008	263,318
30. Victory Insurance Brokers	1,432,112	330,836
31. WFDR Risk Services	3,112,935	573,796
32. Zimbabwe Insurance Brokers	6,138,312	247,137

KEY

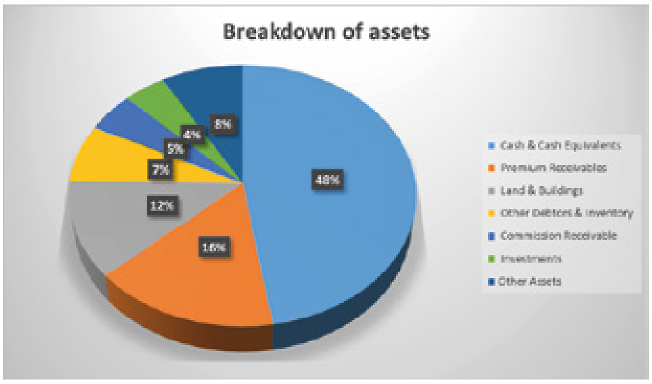
(green)	The broker reported a capital position that was above the requirement of $100,000.
(red)	The broker reported a capital position that was below the requirement of $100,000.

However, based on the new MCR, only fourteen insurance brokers were compliant out of the thirty one registered insurance brokers. Non-compliant brokers are expected to meet the new MCR by 31 March 2020.

6.3. Asset Quality

Total assets for the insurance brokers increased significantly from $114.10 million as at 31 September 2019 to $173.93 million as at 31 December 2019. The asset base for insurance brokers is skewed towards cash and cash equivalents, premium receivables and land and buildings. The distribution of assets across different asset classes is shown in Figure 15 below

Figure 15 : Insurance Broker's breakdown of Total Assets



The insurance brokers are encouraged to preserve that value of their assets as they determine the financial strength of their balance sheets as professional insurance advisors.

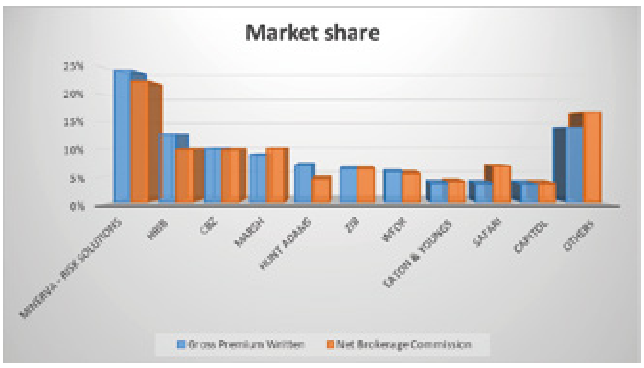
6.4. Earnings

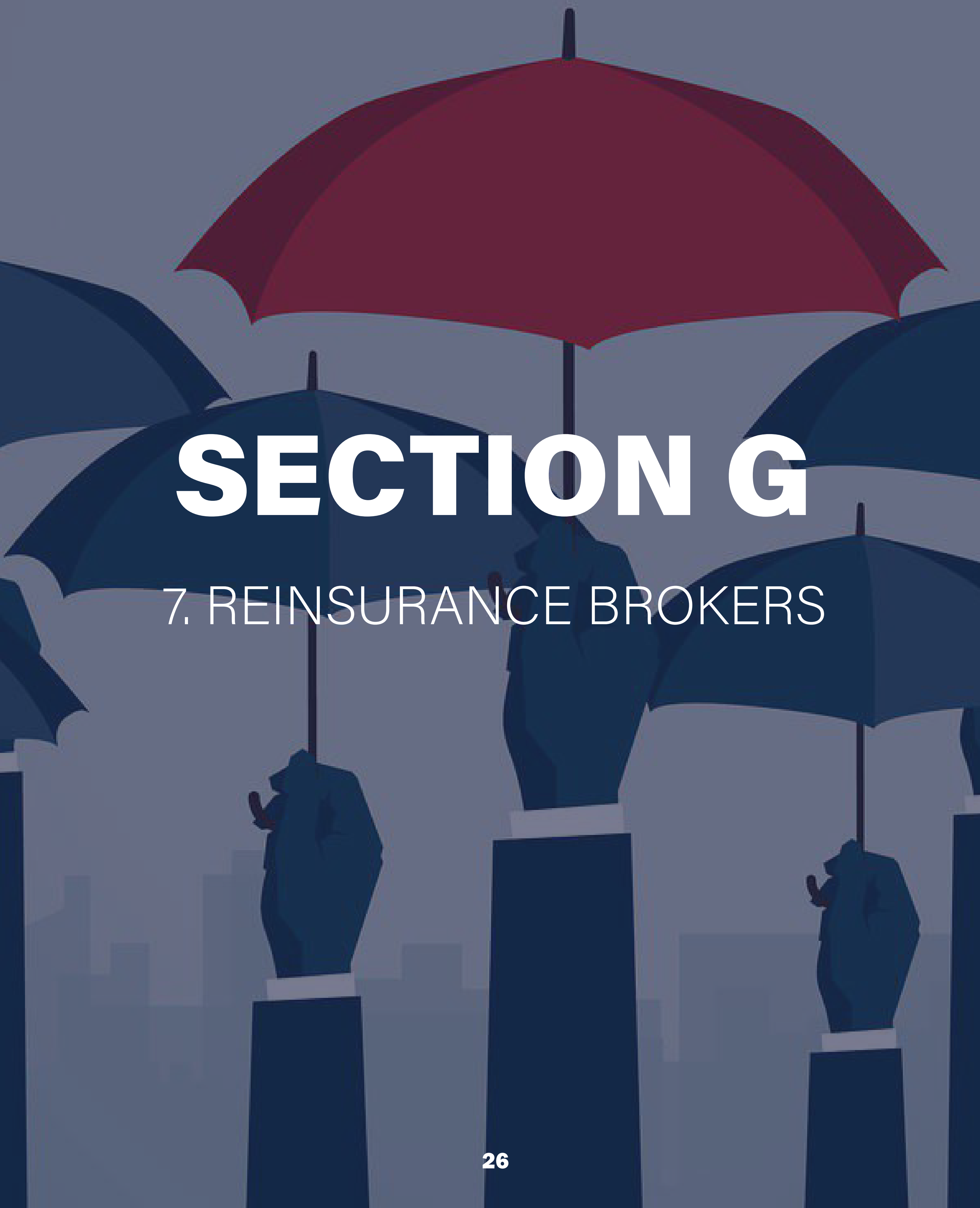
Profit after tax of insurance brokers amounted to $16.08 million, reflecting a 551.01% increase from $2.47 million reported for the comparative period in 2018. The significant driver to the increase were currency reforms which were responsible for increase in premiums of short insurers. The industry average return on equity (ROE) and return on assets (ROA) for the reporting period were 40% and 16% respectively.

6.5. Market Share for Insurance Brokers

For the year ended 31 December 2019, Minerva Risk Solutions, HRIB, CBZ Risk and Marsh Insurance Brokers Zimbabwe dominated the market in terms of both business written as well as brokerage income. Figure 16 below shows the market share for the top ten insurance brokers in terms of net brokerage commission (NBC) and gross premium written.

Figure 16: Market Share in Terms of NBC and GPW





SECTION G

7. REINSURANCE BROKERS

Business Written

Reinsurance brokers reported $331.66 million in gross premium for the fourth quarter ended 31 December 2019 as compared with $72.93 million reported in the previous 2018. Table 11 below shows the key indicators of business written by reinsurance brokers.

Table 11: Indicators of Business Written for Reinsurance Brokers

Indicator	31-Dec-19
Premium Written	331,664,806
Premium Payable	248,652,078
Brokerage Commission	83,012,728
Commission Paid	70,817,586
Net Brokerage Commission	10,953,355
Other Income	20,037,626
Operating Expenses	11,426,680
Profit Before Tax	19,564,301
Taxation	4,987,401
Profit After Tax	14,576,899

7.2. Capitalisation

One reinsurance broker reported a capital position which was below $100,000 as at 31 December 2019. Table 12 below shows the capital positions reported by all reinsurance brokers.

Table 12 : Capitalisation Levels for Reinsurance Brokers

Name of Reinsurance Broker	30-Dec-19 ($)	30-Dec-18 ($)
1. Afro-Asian Reinsurance Brokers	2,075,060	165,315
2. Capitol Reinsurance Brokers	461,534	114,279
3. Classic Reinsurance Brokers	2,963,895	116,359
4. Marsh Reinsurance Brokers	(1,035,888)	134,117
5. Minerva Re (Private) Limited	16,476,858	3,105,927
6. Pan African Re	3,467,923	414,388
7. Reinsurance Brokers International	405,424	293,758

Key:

Green	The broker reported a capital position that was above the requirement of $100,000.
Red	The broker reported a capital position that was below the requirement of $100,000.

Based on the reported capital positions, three reinsurance brokers were non-compliant with the new MCR. Non-compliant entities are advised to initiate recapitalisation plans which should bring them to compliance by 31 March 2020.

7.3. Asset Quality

The reinsurance brokers reported total assets amounting to $299.60 million as at 31 December 2019, reflecting an 8.1% increase from $277.23 million reported for as at 31 September 2019. The asset distribution for reinsurance brokers included land and buildings, furniture and fittings, motor vehicles, property and equipment, investments and cash.

7.4. Earnings for Reinsurance Brokers

Total profit after tax for reinsurance brokers increased from $0.67 million reported as at 31 December 2018 to $14.58 million, translating to a growth of 2,056.80% for the period under review.

7.5. Market Share for Reinsurance Brokers

Minerva Re (Private) Limited remained dominant throughout the year in terms of business written, net brokerage commission and total assets for the reinsurance broking market. The market share for all the reinsurance brokers for the period under review is as shown in Table 13 below.

Table 13 : Market Share for Reinsurance Brokers

Name of Reinsurance Broker	Premium Written
1. Minerva Re (Private) Limited	66%
2. Pan African Reinsurance Brokers	12%
3. Marsh Reinsurance Brokers	11%
4. Capitol Reinsurance Brokers	7%
5. Afro-Asian Reinsurance Brokers	3%
6. Reinsurance Brokers International	2%
7. Classic Reinsurance Brokers*	0
Total	

*The reinsurance broker did not write any business during the period under review.

Appendix

Appendix 1A

Statement of Comprehensive Income for Short Term Insurers for the twelve months ended 31 December 2019

	Alliance	Allied	CBZ	Insurance Company		Champions	Clarion	Credsure	Econet	Evolution	ECGC	FBC	Hamilton	Nicoz Diamond	Old Mutual	Quality	Safel	Sanctuary	Zimnat Lion	Total
				Promoter	Cell Business															
Gross Premium Written	161,787,208	5,466,871	65,579,037	148,544,359	16,181,406	16,552,703	23,226,325	15,495,838	69,279,364	97,969,630	14,170,235	96,515,413	6,103,411	188,819,691	159,673,455	4,516,000	9,763,394	4,358,049	270,862,131	1,374,864,520
Reinsurance Premium	92,907,206	2,092,361	40,607,121	130,540,725	-	3,193,387	244,886	8,937,909	7,592,144	84,030,595	1,312,990	67,692,140	335,866	104,573,360	89,113,252	1,389,000	2,548,232	564,877	244,978,452	882,654,504
Net Premium Written	**68,880,002**	**3,374,510**	**24,971,916**	**18,003,634**	**16,181,406**	**13,359,316**	**22,981,439**	**6,557,929**	**61,687,219**	**13,939,034**	**12,857,245**	**28,823,273**	**5,767,545**	**84,246,331**	**70,560,203**	**3,127,000**	**7,215,162**	**3,793,172**	**25,883,679**	**492,210,016**
Increase/(Decrease) in UPR	11,340,667	1,534,743	11,609,357	3,144,465	4,224,804	100,328	3,290,441	835,598	24,762,110	570,000	5,124,495	2,822,430	919,759	16,524,843	8,251,778	382,000	(106,265)	1,686,788	(649,994)	96,368,347
Net Earned Premium	**57,539,335**	**1,839,767**	**13,362,559**	**14,859,169**	**11,956,602**	**13,258,988**	**19,690,997**	**5,722,331**	**36,925,110**	**14,509,034**	**7,732,750**	**26,000,843**	**4,847,786**	**67,721,488**	**62,308,425**	**2,745,000**	**7,321,428**	**2,106,384**	**26,533,673**	**395,841,668**
Net Incurred Claims	31,977,077	779,170	6,231,688	6,894,190	4,324,253	157,977	1,343,831	1,081,738	10,463,677	6,836,990	1,937,829	13,697,941	646,886	29,862,174	36,202,449	298,000	285,850	881,846	4,543,614	158,447,180
Net Commission Incurred	2,407,964	(197,143)	113,476	(9,490,780)	-	389,475	11,718,170	1,979,184	3,410,220	1,371,902	150,262	(13,697,939)	462,596	3,946,938	(443,594)	165,000	1,244,184	(37,350)	(15,212,381)	(11,719,817)
Technical Result	**23,154,294**	**1,257,740**	**7,017,395**	**17,455,759**	**7,632,349**	**12,711,536**	**6,628,996**	**2,661,409**	**23,051,213**	**6,300,142**	**5,644,659**	**26,000,841**	**3,738,304**	**33,912,376**	**26,549,570**	**2,282,000**	**5,791,394**	**1,261,888**	**37,202,440**	**249,114,305**
Operating Expenses	19,617,865	1,852,286	7,964,249	8,628,715	12,309,463	8,548,529	5,139,431	2,671,423	17,138,648	3,834,000	3,961,545	33,710,526	3,742,375	27,926,360	30,455,558	1,833,000	2,011,444	2,743,218	19,514,338	213,602,973
Underwriting Result	**3,536,429**	**(594,546)**	**(946,854)**	**8,827,044**	**(4,677,114)**	**4,163,007**	**1,489,566**	**(10,014)**	**5,912,565**	**2,466,142**	**1,683,114**	**(7,709,685)**	**(4,071)**	**5,986,016**	**(3,905,988)**	**449,000**	**3,779,950**	**(1,481,330)**	**17,688,102**	**35,511,332**
Investment Income	906,315	(96,517)	111,098	191,027	31,078	14,135	-	1,261,196	441,288	64,753	774,930	196,121	-	93,274,542	40,330,307	121,000	58,000	-	9,948,123	147,627,397
Unrealised Gains/(Losses)	-	1,751,353	3,669,372	38,521,731	23,905,320	(3,659,680)	(5,202)	434,294	3,265,867	-		14,841,754	-	(1,217,301)	62,738,316	3,153,000	-	34,447,330	24,943,361	206,789,515
Other Income/(Expenses)	299,060	1,396,205	141,030	9,697,962	(1,548,686)	2,135,513	1,501,058	285,045	-	184,877	258,990	1,474,958	870,017	11,763,779	10,081,680	-	-	547,617	(301,786)	38,787,320
Profit/(Loss) Before Tax	**4,741,805**	**2,456,495**	**2,974,646**	**57,237,764**	**17,710,598**	**2,652,975**	**2,985,422**	**1,970,521**	**9,619,720**	**2,715,772**	**2,717,034**	**8,803,148**	**865,946**	**109,807,036**	**109,244,315**	**3,723,000**	**3,837,950**	**33,513,618**	**52,277,800**	**428,715,564**
Taxation	1,221,015	638,665	1,037,723	8,274,022	-	683,142	768,746	507,409	2,477,078	-	-	2,271,186	129,892	26,611,129	11,012,598	158,000	866,417	-	12,543,411	69,200,433
Profit/(Loss) After Tax	**3,520,789**	**1,817,830**	**1,936,923**	**48,963,742**	**17,710,598**	**1,969,833**	**2,216,676**	**1,463,112**	**7,142,642**	**2,715,772**	**2,717,034**	**6,531,962**	**736,054**	**83,195,907**	**98,231,717**	**3,565,000**	**2,971,533**	**33,513,618**	**39,734,389**	**359,515,130**
Dividends	-	-	-	-	-	-	-	-	-	-	-	1,194,256	-	-	40,685	-	-	-	1,537,642	2,772,583
Retained Income	**3,520,789**	**1,817,830**	**1,936,923**	**48,963,742**	**17,710,598**	**1,969,833**	**2,216,676**	**1,463,112**	**7,142,642**	**2,715,772**	**2,717,034**	**5,337,706**	**736,054**	**83,195,907**	**98,191,032**	**3,565,000**	**2,971,533**	**33,513,618**	**38,196,747**	**356,742,547**

Appendix 1B

Statement of Financial Position for Short Term Insurers as at 31 December 2019

	Alliance	Allied	CBZ	Cell Insurance Company		Champions	Clarion	Credsure	Econet	Evolution	ECGC	FBC	Hamilton	Nicoz Diamond	Old Mutual	Quality	Safel	Sanctuary	Zimnat Lion	Total
				Promoter	Cell Business															
ASSETS																				
Non-Current Assets																				
Fixed Assets	90,642,865	44,978,719	27,043,287	7,702,580	-	17,071,523	12,447,138	28,775,164	8,870,097	22,228,134	3,108,411	37,075,004	588,885	82,870,954	7,571,372	15,373,000	72,103,896	2,326,563	13,296,579	494,074,172
Equities	436,229	-	1,499,272	5,233,611	4,938,457	-	1,999	2,604,901	24,949,445	59,169,244	841,715	7,705,146	1,959,950	18,765,221	131,629,417	6,515,000	-	6,420	663,216	266,919,243
Investments In Associated Companies	-	-	-	19,745,356	-	1,375,925	160,000	-	-	-	-	-	-	6,904,970	-	-	-	39,216,000	-	67,402,251
Long Term Prescribed Assets	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other Non-Current Assets		254,025	3,761,763			507,959	366,722	595,108		5,888,190		202,915		3,973,469		1,000			1,388,344	16,939,495
	91,079,094	**45,232,744**	**32,304,322**	**32,681,547**	**4,938,457**	**18,955,407**	**12,975,860**	**31,975,173**	**33,819,542**	**87,285,568**	**3,950,126**	**44,983,065**	**2,548,835**	**112,514,614**	**139,200,789**	**21,889,000**	**72,103,896**	**41,548,983**	**15,348,139**	**845,335,161**
Technical Assets																				
Reinsurers' Share of Outstanding Claims	25,975,460	128,819	21,896,955	-	-	2,090,030	110,425	610,292	-	-	-	1,289,802	151,292	-	46,564,487	136,000	-	-	16,834,939	115,788,501
Deffered Acquisation Cost/UCR	7,168,954	578,829	4,472,808	7,691,306	-	211,223	1,283,084	107,600	6,510,695	387,717	9,599	550,591	186,294	4,856,788	1,743,545	126,000	27,228	341,800	5,041,835	41,295,897
	33,144,414	**707,648**	**26,369,763**	**7,691,306**	**-**	**2,301,253**	**1,393,509**	**717,892**	**6,510,695**	**387,717**	**9,599**	**1,840,393**	**337,586**	**4,856,788**	**48,308,032**	**262,000**	**27,228**	**341,800**	**21,876,774**	**157,084,398**
Current Assets																				
Cash & cash equivalents	27,647,864	3,468,232	4,942,264	37,279,308	20,438,387	2,195,232	1,299,109	2,446,410	9,157,400	1,535,249	6,172,641	16,309,323	24,538,342	14,615,189	60,720,490	1,046,000	375,862	188,663	13,754,690	248,130,654
Money Market Investments	462,115	58,840	1,498,030	89,138	-	-	552,037	-	-	312,209	3,072,839	-	-	-	-	20,000	-	-	31,348,469	37,413,677
Current Prescribed Assets	383,739	74,513	1,523,901	1,685,201	-	481,151	31,589	663,323	5,251,465	860,000	4,000,000	1,010,500	(206)	16,343,177	112,765	212,000	23,250	60,793	3,504,935	36,222,096
Premiums Receivable	49,730,864	966,891	24,069,250	33,052,913	203,661	1,276,950	4,769,587	5,978,193	42,393,014	1,637,191	3,910,647	44,208,029	1,263,297	71,479,873	22,339,144	150,000	2,829,869	1,327,341	87,724,017	399,310,732
Other Current Assets	10,632,881	262,692	2,141,351	8,709,530	1,994,572	118,863	2,939,591	330,275	758,261	1,971,713	2,573,566	2,504,671	179,103	24,644,371	29,633,739	57,000	-	96,888	91,380,118	180,929,185
	88,857,463	**4,831,168**	**34,174,796**	**80,816,090**	**22,636,620**	**4,072,196**	**9,591,912**	**9,418,201**	**57,560,139**	**6,316,362**	**19,729,693**	**64,032,523**	**25,980,536**	**127,082,610**	**112,806,138**	**1,485,000**	**3,228,981**	**1,673,685**	**227,712,229**	**902,006,343**
TOTAL ASSETS	**213,080,971**	**50,771,560**	**92,848,881**	**121,188,943**	**27,575,077**	**25,328,856**	**23,961,281**	**42,111,266**	**97,890,377**	**93,989,647**	**23,689,418**	**110,855,981**	**28,866,957**	**244,454,012**	**300,314,959**	**23,636,000**	**75,360,105**	**43,564,468**	**264,937,142**	**1,904,425,901**
										2,312,266										
LIABILITIES																				
Deferred Tax Liabilities	-	-	1,271,772	7,701,196	-	(53,531)	163,030	-	872,144	-	-	2,396,599	-	26,974,566	8,633,827	(158,000)	-	69,109	5,557,491	53,428,203
Long Term loan	-	-	-	-	-	-	25,943	-	520,943	-	-	-	-	-	-	-	-	-	108,196	655,082
Current Tax provisions	1,221,015	618,499	-	-	-	677,569	523,373	507,363	1,702,064	-	-	1,237,513	-	-	-	38,000	866,417	-	5,258,506	12,650,319
Gross Outstanding Claims	35,255,317	359,067	3,308,303	58,446,479	1,026,146	72,400	296,760	1,017,153	3,141,832	249,840	611,645	2,092,550	236,453	6,239,485	64,582,053	166,000	114,947	162,584	17,581,038	194,960,052
IBNR	17,328,843	168,908	1,016,468	746,647	-	935,152	1,149,072	655,793	1,943,329	372,397	708,512	1,441,166	292,935	2,901,785	4,850,149	94,000	228,436	265,522	23,121,890	58,221,004
UPR	35,844,772	2,021,946	34,012,824	4,384,366	4,944,158	1,056,118	5,745,360	983,689	24,845,436	2,882,267	5,967,495	3,791,104	1,256,681	24,204,982	34,415,220	677,000	544,561	2,296,844	64,739,487	254,614,310
Reinsurance Creditors	29,776,705	373,549	10,365,613	(13,803,705)	1,103,097	516,543	221,318	6,466,842	10,733,329	4,712,365	-	48,029,914	290,661	67,205,938	-	110,000	2,374,063	616,245	84,534,001	253,626,477
Other Liabilities	2,929,199	524,910	7,842,573	7,962,041	-	4,887,071	88,370	562,229	6,461,919	304,558	(212,429)	6,663,142	310,316	14,539,240	38,582,320	132,000	-	1,756,786	9,805,446	103,139,691
TOTAL LIABILITIES	**122,355,851**	**4,066,879**	**57,817,553**	**65,437,024**	**7,073,401**	**8,091,322**	**8,213,225**	**10,193,069**	**50,220,996**	**8,521,427**	**7,075,223**	**65,651,987**	**2,387,046**	**142,065,996**	**151,063,569**	**1,059,000**	**4,128,424**	**5,167,090**	**210,706,055**	**931,295,137**
SHAREHOLDERS' EQUITY																				
Share Capital	300,986	30,350	78,117	3,924,127	-	381,501	1,494,922	24,646	100	2,350,000	1,500,000	1,000	500,000	2,974,861	300,000	230,000	1,699,799	108,130	2,500,000	18,398,539
Share Premium	80,153,759	1,090,179	1,479,090	-	-	-	-	4,899,780	37,299,900	-	12,598,633	2,799,500	1,500,000	12,852,625	4,777,365	603,000	-	2,152,434	52,509	162,258,774
Revaluation & Other Reserves	-	42,793,586	22,564,188	25,105,637	-	14,153,398	12,524,681	25,935,065	6,334,527	74,613,209	957,406	32,859,532	25,641,531	497,618	-	15,133,000	65,703,358	105,000	2,449,436	367,371,172
Retained Profit	10,270,375	2,790,566	10,909,933	26,722,155	20,501,676	2,702,635	1,728,453	1,058,706	4,034,853	8,505,011	1,558,156	9,543,962	(1,161,620)	86,062,912	144,174,025	6,611,000	3,828,525	36,031,814	49,229,142	425,102,277
Shareholders's Equity	**90,725,120**	**46,704,681**	**35,031,328**	**55,751,919**	**20,501,676**	**17,237,534**	**15,748,056**	**31,918,197**	**47,669,380**	**85,468,220**	**16,614,195**	**45,203,994**	**26,479,911**	**102,388,016**	**149,251,390**	**22,577,000**	**71,231,682**	**38,397,378**	**54,231,087**	**973,130,763**
TOTAL EQUITY & LIABILITIES	**213,080,971**	**50,771,560**	**92,848,881**	**121,188,943**	**27,575,077**	**25,328,856**	**23,961,281**	**42,111,266**	**97,890,377**	**93,989,647**	**23,689,418**	**110,855,981**	**28,866,957**	**244,454,012**	**300,314,959**	**23,636,000**	**75,360,105**	**43,564,468**	**264,937,142**	**1,904,425,900**

IPEC 2019 **Fourth Quarter** Short Term (Non-Life) Insurance Report

Appendix 1C

Key Performance Indicators (KPIs) for Short Term Insurers as at 31 December 2019

	Alliance	Allied	CBZ	Cell	Champions	Clarion	Credsure	Econet	Evolution	ECGC	FBC	Hamilton	Nicoz Diamond	Old Mutual	Quality	Safel	Sanctuary	Zimnat Lion	Total/ Average
Capital Adequacy																			
Capital Position ($000)	90,725	46,705	35,031	55,752	17,238	15,748	31,918	47,669	85,468	16,614	45,204	26,480	102,388	149,251	22,577	71,232	38,397	54,231	**54,063**
Capital Maintenance Ratio (CMR)	526.86%	3113.65%	561.13%	1238.68%	516.12%	274.10%	1946.85%	309.10%	2452.63%	516.88%	627.33%	578.76%	486.14%	846.09%	1299.40%	3949.00%	2559.83%	838.07%	**790.83%**
Equity/Total Assets Ratio	42.58%	91.99%	37.73%	46.00%	68.05%	65.72%	75.79%	48.70%	90.93%	70.13%	40.78%	91.73%	41.88%	49.70%	95.52%	94.52%	88.14%	20.47%	**51.10%**
Solvency Margin	131.71%	1384.04%	140.28%	309.67%	129.03%	68.53%	486.71%	77.28%	613.16%	129.22%	156.83%	144.69%	121.53%	211.52%	324.85%	987.25%	1012.28%	209.52%	**197.71%**
Asset Quality																			
Total Assets ($000)	213,081	50,772	92,849	121,189	25,329	23,961	42,111	97,890	93,990	23,689	110,856	28,867	244,454	300,315	23,636	75,360	43,564	264,937	**1,904,426**
Interest Generating Assets to Total Assets	13.58%	7.09%	10.19%	36.54%	10.57%	7.87%	13.57%	40.21%	65.83%	59.47%	22.57%	91.79%	20.34%	64.09%	32.97%	0.53%	0.59%	18.60%	**30.91%**
Non-Interest Generating Assets/Total Assets	86.42%	92.91%	89.81%	47.16%	84.00%	91.47%	86.43%	59.79%	34.17%	40.53%	77.43%	8.21%	76.83%	35.91%	67.03%	99.47%	9.39%	81.40%	**65.55%**
Fixed Assets/Total Assets	42.54%	88.59%	29.13%	6.36%	67.40%	51.95%	68.33%	9.06%	23.65%	13.12%	33.44%	2.04%	33.90%	2.52%	65.04%	95.68%	5.34%	5.02%	**25.94%**
Prescribed Assets Ratio	0.21%	0.15%	2.43%	1.48%	2.14%	0.14%	1.63%	5.75%	0.98%	16.89%	0.93%	0.00%	6.94%	0.04%	0.91%	0.03%	0.14%	1.45%	**2.09%**
Premium Debtors/Gross Premium	30.74%	17.69%	36.70%	22.25%	7.71%	20.54%	38.58%	61.19%	1.67%	27.60%	45.80%	20.70%	37.86%	13.99%	3.32%	28.98%	30.46%	32.39%	**29.04%**
Premium Debtors/Total Assets	23.34%	1.90%	25.92%	27.27%	5.04%	19.91%	14.20%	43.31%	1.74%	16.51%	39.88%	4.38%	29.24%	7.44%	0.63%	3.76%	3.05%	33.11%	**20.97%**
Reinsurance																			
Risk Retention Ratio	42.57%	61.73%	38.08%	12.12%	80.71%	98.95%	42.32%	89.04%	14.23%	90.73%	29.86%	94.50%	44.62%	44.19%	69.24%	73.90%	87.04%	9.56%	**35.80%**
Reinsurance Creditors/Reinsurance Premium	32.05%	17.85%	25.53%	-10.57%	16.18%	90.38%	72.35%	141.37%	5.61%	0.00%	70.95%	86.54%	64.27%	0.00%	7.92%	93.17%	109.09%	34.51%	**28.73%**
Reinsurers' Share of O/S Claims to O/S	73.68%	35.88%	661.88%	0.00%	2886.78%	37.21%	60.00%	0.00%	0.00%	0.00%	61.64%	63.98%	0.00%	72.10%	81.93%	0.00%	0.00%	95.76%	**59.39%**
Reinsurers Debtors/Reinsurance Creditors	87.23%	34.49%	211.25%	0.00%	404.62%	49.89%	9.44%	0.00%	0.00%	0.00%	2.69%	52.05%	0.00%	0.00%	123.64%	0.00%	0.00%	19.91%	**45.65%**
Actuarial																			
UPR ($000)	35,845	2,022	34,013	4,384	1,056	5,745	984	24,845	2,882	5,967	3,791	1,257	24,205	34,415	677	545	2,297	64,739	**254,614**
IBNR ($000)	17,329	169	1,016	747	935	1,149	656	1,943	372	709	1,441	293	2,902	4,850	94	228	266	23,122	**58,221**
Net Outstanding Claims	9,280	230	(18,589)	58,446	(2,018)	186	407	3,142	250	612	803	85	6,239	18,018	30	115	163	746	**79,172**
Liquid Asets/Total Reserves	45.62%	148.76%	48.44%	61.43%	-10153.20%	26.59%	151.97%	48.14%	77.26%	181.75%	286.99%	1501.01%	92.84%	106.20%	159.55%	44.95%	9.15%	54.86%	**82.08%**
Liquid Assets/(Outstanding Claims+IBNR)	107.08%	902.30%	-45.32%	65.98%	-247.25%	140.99%	292.64%	283.35%	435.12%	1003.33%	771.86%	6489.92%	338.67%	266.02%	1030.65%	116.23%	58.27%	203.65%	**234.19%**
Assets/Total Reserves	341.18%	2097.04%	564.75%	190.62%	-96088.22%	338.40%	2057.88%	327.06%	2681.97%	325.06%	1836.88%	1765.80%	733.08%	524.27%	2950.81%	8487.03%	1598.73%	299.00%	**485.81%**
Earnings																			
Profit After Tax ($000)	3,521	1,818	1,937	48,964	1,970	2,217	1,463	7,143	2,716	2,717	6,532	736	83,196	98,232	3,565	2,972	33,514	39,734	**359,515**
Return on Equity	7.35%	7.52%	9.65%	163.39%	19.37%	25.50%	8.83%	26.35%	6.11%	27.48%	27.66%	3.81%	133.04%	130.13%	27.84%	8.15%	167.73%	127.38%	**67.62%**
Return on Assets	2.87%	6.78%	3.75%	76.29%	12.05%	15.54%	6.38%	13.00%	5.47%	19.93%	11.47%	2.61%	59.46%	64.95%	24.53%	7.69%	143.16%	28.35%	**34.40%**
Loss Ratio	55.57%	42.35%	46.64%	46.40%	1.19%	6.82%	18.90%	28.34%	47.12%	25.06%	52.68%	13.34%	44.10%	58.10%	10.86%	3.90%	41.87%	17.12%	**40.03%**
Net Commission Ratio	4.18%	-10.72%	0.85%	-63.87%	2.94%	59.51%	34.59%	9.24%	9.46%	1.94%	-52.68%	9.54%	5.83%	-0.71%	6.01%	16.99%	-1.77%	-57.33%	**-2.96%**
Net Expense Ratio	34.09%	100.68%	59.60%	58.07%	64.47%	26.10%	46.68%	46.41%	26.42%	51.23%	129.65%	77.20%	41.24%	48.88%	66.78%	27.47%	130.23%	73.55%	**53.96%**
Combined Ratio	93.85%	132.32%	107.09%	40.60%	68.60%	92.44%	100.17%	83.99%	83.00%	78.23%	129.65%	100.08%	91.16%	106.27%	83.64%	48.37%	170.33%	33.34%	**91.03%**
Underwriting Margin	6.15%	-32.32%	-7.09%	59.40%	31.40%	7.56%	-0.17%	16.01%	17.00%	21.77%	-29.65%	-0.08%	8.84%	-6.27%	16.36%	51.63%	-70.33%	66.66%	**8.97%**
Investment Income/NPW Ratio	1.32%	49.04%	15.14%	215.03%	-27.29%	-0.02%	25.85%	6.01%	0.46%	6.03%	52.17%	0.00%	109.27%	146.07%	104.70%	0.80%	908.14%	134.80%	**72.01%**
Investment Income/Total Financial Assets	3.09%	45.95%	34.48%	78.17%	-136.21%	-0.28%	20.38%	5.76%	0.05%	5.19%	45.95%	0.00%	134.41%	31.80%	22.88%	14.53%	13133.00%	69.87%	**41.42%**
Liquidity																			
Working Capital ($000)	2,575	1,997	10,570	31,032	3,169	2,887	505	20,833	(1,513)	12,452	6,884	24,241	4,413	48,633	820	(872)	(1,395)	48,797	**231,590**
Current ratio	126.58%	140.65%	168.55%	135.26%	106.20%	136.01%	105.77%	128.92%	78.67%	278.99%	102.35%	1177.15%	92.87%	154.18%	189.27%	78.87%	39.01%	128.81%	**129.97%**
Acid Test ratio	29.56%	91.46%	22.17%	59.68%	44.60%	23.31%	32.45%	28.99%	31.77%	187.21%	26.91%	1097.53%	21.79%	58.21%	138.46%	9.67%	4.83%	25.09%	**39.49%**
Market Shares																			
Market Share Based on GWP	11.77%	0.40%	4.77%	10.80%	1.20%	1.69%	1.13%	5.04%	7.13%	1.03%	7.02%	0.44%	13.73%	11.61%	0.33%	0.71%	0.32%	19.70%	**100%**
Market Share Based on NWP	13.99%	0.69%	5.07%	3.66%	2.71%	4.67%	1.33%	12.53%	2.83%	2.61%	5.86%	1.17%	17.12%	14.34%	0.64%	1.47%	0.77%	5.26%	**100%**
Market Share Based on Total Assets	11.19%	2.67%	4.88%	6.36%	1.33%	1.26%	2.21%	5.14%	4.94%	1.24%	5.82%	1.52%	12.84%	15.77%	1.24%	3.96%	2.29%	13.91%	**100%**

IPEC 2019 Fourth Quarter Short Term (Non-Life) Insurance Report

IPEC 2019 **Fourth Quarter** Short Term (Non-Life) Insurance Report

Appendix 2A

Statement of Comprehensive Income for Short term Reinsurers for the twelve months ended 30 December 2019

	Emeritus Re	FBC Re	FM RE	Grand Re	Tropical Re	WAICA Re	ZB Re	Zep - Re	Total
Gross Premium Written	73,704,922	73,783,392	64,965,111	118,420,843	100,297,247	29,395,135	110,317,172	94,020,366	664,904,188
Retrocession Premium	9,016,457	4,830,442	25,813,631	67,565,593	41,849,367	10,162,640	7,527,314	52,865,823	219,631,267
Net Premium Written	**64,688,465**	**68,952,950**	**39,151,480**	**50,855,250**	**58,447,880**	**19,232,495**	**102,789,858**	**41,154,542**	**445,272,921**
Increase/(Decrease) in UPR	19,229,954	12,689,521	5,298,305	3,765,733	8,700,773	7,999,099	14,279,621	18,112,734	90,075,741
Net Earned Premium	**45,458,511**	**56,263,429**	**33,853,175**	**47,089,517**	**49,747,107**	**11,233,396**	**88,510,237**	**23,041,808**	**355,197,180**
Net Incurred Claims	24,904,934	28,894,403	9,922,361	14,217,767	21,227,867	10,606,397	37,832,799	43,648,660	191,255,188
Net Commission Incurred	10,986,319	23,147,341	8,035,466	11,356,485	13,115,593	3,713,200	29,183,008	(7,326,862)	92,210,550
Technical Result	**9,567,258**	**4,221,685**	**15,895,348**	**21,515,265**	**15,403,647**	**(3,086,201)**	**21,494,430**	**(13,279,990)**	**71,731,442**
Operating Expenses	8,875,816	24,221,301	12,034,209	12,183,839	3,560,197	11,845,552	19,440,928	3,787,606	95,949,448
Underwriting Result	**691,442**	**(19,999,616)**	**3,861,139**	**9,331,426**	**11,843,450**	**(14,931,753)**	**2,053,502**	**(17,067,596)**	**(24,218,006)**
Investment Income	1,404,351	325,910	1,622,717	559,688	120,358	100,475	41,142,008	5,832,945	51,108,452
Unrealised Gains/(Losses)	39,888,361	58,823,236	11,124,767	41,586,922	23,534,097	79,573,705	35,071,409	170,688,893	460,291,390
Other Income/(Expenses)	-	721,140	633,373	11,275	228,304	580,099	-	-	2,174,191
Profit/(Loss) Before Tax	**41,984,154**	**39,870,670**	**17,241,996**	**51,489,311**	**35,726,209**	**65,322,526**	**78,266,919**	**159,454,242**	**489,356,028**
Taxation	-	11,573,455	-	409,068	(699,212)	-	9,460,162	-	20,743,473
Profit/(Loss) After Tax	**41,984,154**	**28,297,215**	**17,241,996**	**51,080,243**	**36,425,421**	**65,322,526**	**68,806,757**	**159,454,242**	**468,612,555**
Dividends	-	1,140,758	-	2,356,290	471,466	-	562,899	-	4,531,413
Retained Income	**41,984,154**	**27,156,457**	**17,241,996**	**48,723,953**	**35,953,955**	**65,322,526**	**68,243,858**	**159,454,242**	**464,081,142**

Appendix 2B

Statement of Financial Position for Short term Reinsurers as at 31 December 2019

	Emeritus Re	FBC Re	FM RE	Grand Re	Tropical Re	WAICA Re	ZB Re	Zep - Re	Total
ASSETS									
Non-Current Assets									
Fixed Assets	530,819	1,065,151	220,019	6,865,717	5,767,449	18,109,244	46,518,921	4,241,238	**83,318,558**
Equities	54,108,130	40,199,344	31,008,324	1,516,695	38,390	48,898	19,358,443	-	146,278,224
Investments in Associated Companies	25,510,313	-	-	-	9,763,200	-	-	-	35,273,513
Long Term Prescribed Assets	-	-	-	-	-	-	-	-	-
Other Non-Current Assets	2,472,682	59,553	-	-	780,000	623,776	-	-	3,936,011
	82,621,944	**41,324,048**	**31,228,343**	**8,382,412**	**16,349,039**	**18,781,918**	**65,877,364**	**4,241,238**	**268,806,306**
Technical Assets				**4,000**					
Retrocessionaires' Share of Outstanding Claims	3,231,588	6,697,107	-	15,896,052	7,243,293	3,933,090	-	-	37,001,130
Deferred Acquisation Cost	8,404,103	5,020,481	2,570,891	1,206,262	2,038,983	1,199,865	-	5,101,615	25,542,200
	11,635,691	**11,717,588**	**2,570,891**	**17,102,314**	**9,282,276**	**5,132,955**	**-**	**5,101,615**	**62,543,330**
Current Assets									
Cash & cash equivalents	18,462,985	63,639,965	52,927,261	24,917,597	31,625,512	64,304,196	50,847,014	14,074,869	320,799,399
Money Market Investments	9,437,936	-	-	-	673,320	-	26,560	-	10,137,816
Current Prescribed Assets	1,325,911	19,974,279	497,686	3,445,453	500,000	500,000	2,076,201	180,300,000	208,619,530
Premium Receivables	20,448,661	12,167,618	39,277,383	77,629,249	19,575,776	12,514,867	29,499,099	31,260,276	242,372,929
Other Current Assets	13,835,265	3,532,638	5,324,642	4,321,567	5,633,228	3,554,800	80,846	(14,866,850)	21,416,136
	63,510,758	**99,314,500**	**98,026,972**	**110,313,866**	**58,007,837**	**80,873,863**	**82,529,720**	**210,768,295**	**803,345,811**
TOTAL ASSETS	**157,768,393**	**152,356,136**	**131,826,206**	**135,798,592**	**83,639,152**	**104,788,736**	**148,407,084**	**220,111,148**	**1,134,695,447**
LIABILITIES									
Deferred Tax Liabilities	-	(569,216)	(390,300)	672,954	205,094	-	788,711	-	707,243
Long Term Loan	-	-	-	-	-	-	-	-	-
Current Tax provisions	-	11,333,997	-	144,359	-	143,312	8,726,481	-	20,348,149
Gross Outstanding Claims	10,642,507	29,273,645	9,166,770	20,648,857	9,046,169	13,083,486	24,343,403	18,179,805	134,384,642
IBNR	7,510,907	4,900,251	1,655,536	4,366,600	6,571,082	1,730,925	-	-	26,735,301
UPR	22,410,942	15,362,607	8,678,434	5,395,371	10,194,914	8,061,600	15,578,081	19,058,216	104,740,164
Retrocession Creditors	30,291,788	7,337	73,194,192	26,710,386	10,641,792	7,067,347	5,672,958	-	153,585,800
Other Creditors	7,025,976	10,623,198	10,390,891	1,777,924	819,335	4,195,945	3,349,326	16,548,287	54,730,882
TOTAL LIABILITIES	**77,882,120**	**70,931,818**	**102,695,523**	**59,716,451**	**37,478,386**	**34,282,615**	**58,458,960**	**53,786,308**	**495,232,182**
SHAREHOLDERS' EQUITY									
Share Capital	568,000	900,000	708	600,000	55	10,200	5,000	-	2,083,963
Share Premium	32,258,182	42,703,332	8,230,980	5,187,659	409,944	6,101,018	2,495,000	-	97,386,115
Revaluation & Other Reserves	9,863,803	503,726	-	16,953,956	4,905,510	26,133	9,771,578	-	42,024,706
Retained Profit	37,196,288	37,317,259	20,898,995	53,340,526	40,845,257	64,368,770	77,676,546	166,324,838	497,968,479
Shareholders's Equity	**79,886,273**	**81,424,317**	**29,130,683**	**76,082,141**	**46,160,766**	**70,506,121**	**89,948,124**	**166,324,838**	**639,463,263**
TOTAL EQUITY & LIABILITIES	**157,768,393**	**152,356,135**	**131,826,206**	**135,798,592**	**83,639,152**	**104,788,736**	**148,407,084**	**220,111,146**	**1,134,695,445**

Appendix 2C

Key Performance Indicators for Short term Reinsurers as at 31 December 2019

	Emeritus Re	FBC Re	FM RE	Grand Re	Tropical Re	WAICA Re	ZB Re	Zep - Re	Total/ Average
Key Perfomance Indicator									
Capital Adequacy									
Capital Position ($ 000)	79,886	81,424	29,131	76,082	46,161	70,506	89,948	166,325	**79,933**
Capital Maintenance Ratio (CMR)	493.98%	472.35%	297.62%	598.42%	315.91%	1466.40%	350.03%	1616.59%	**574.45%**
Equity/Total Assets Ratio	50.64%	53.44%	22.10%	56.03%	55.19%	67.28%	60.61%	75.56%	**56.36%**
Solvency Margin	123.49%	118.09%	74.41%	149.61%	78.98%	366.60%	87.51%	404.15%	**143.61%**
Asset Quality									
Total Assets ($ 000)	157,768	152,356	131,826	135,799	83,639	104,789	148,407	220,111	**1,134,695**
Investments to Assets	52.82%	81.27%	64.05%	22.00%	39.26%	61.89%	48.72%	88.31%	**63.55%**
Non-Interest Generating Assets/Total Assets	29.44%	18.70%	35.95%	78.00%	48.13%	37.52%	51.28%	11.69%	**36.10%**
Fixed Assets/Total Assets	0.34%	0.70%	0.17%	5.06%	6.90%	17.28%	31.35%	1.93%	**7.34%**
Prescribed Assets Ratio	0.92%	14.21%	0.39%	2.90%	0.68%	0.50%	1.40%	83.86%	**19.53%**
Premium Debtors/Gross Premium	27.74%	16.49%	60.46%	65.55%	19.52%	42.57%	26.74%	33.25%	**36.45%**
Premium Debtors/Total Assets	12.96%	7.99%	29.79%	57.16%	23.41%	11.94%	19.88%	14.20%	**21.36%**
Retrocession									
Risk Retention Ratio	87.77%	93.45%	60.27%	42.94%	58.27%	65.43%	93.18%	43.77%	**66.97%**
Retrocession Creditors/Retrocession Premium	335.96%	0.15%	283.55%	39.53%	25.43%	69.54%	75.36%	0.00%	**69.93%**
Retrocessionaires' Share of O/S Claims to O/S	30.36%	22.88%	0.00%	76.98%	80.07%	30.06%	0.00%	0.00%	**27.53%**
Actuarial									
UPR	22,411	15,363	8,678	5,395	10,195	8,062	15,578	19,058	**104,740**
IBNR	7,511	4,900	1,656	4,367	6,571	1,731	-	-	**26,735**
Net Outstanding Claims	7,411	22,577	9,167	4,753	1,803	9,150	24,343	18,180	**97,384**
Liquid Assets/Total Reserves	78.29%	195.18%	273.96%	195.41%	176.63%	342.10%	132.63%	521.98%	**235.76%**
Liquid Assets/(Outstanding Claims+IBNR)	195.87%	304.31%	493.66%	311.02%	391.68%	595.55%	217.51%	1069.18%	**434.71%**
Total Assets/Total Reserves	422.60%	355.64%	676.01%	935.59%	450.43%	553.18%	371.75%	591.09%	**495.81%**
Earnings									
Profit After Tax (000)	41,984	28,297	17,242	51,080	36,425	65,323	68,807	159,454	**468,613**
Return on Equity	74.37%	68.52%	82.33%	119.80%	141.51%	173.87%	137.64%	188.40%	**130.43%**
Return on Assets	40.66%	36.36%	22.58%	67.26%	77.09%	114.70%	84.01%	139.49%	**73.94%**
Loss Ratio	54.79%	51.36%	29.31%	30.19%	42.67%	94.42%	42.74%	189.43%	**53.84%**
Net Commission Ratio	24.17%	41.14%	23.74%	24.12%	26.36%	33.06%	32.97%	-31.80%	**25.96%**
Net Expense Ratio	19.53%	43.05%	35.55%	25.87%	7.16%	105.45%	21.96%	16.44%	**27.01%**
Combined Ratio	98.48%	135.55%	88.59%	80.18%	76.19%	232.92%	97.68%	174.07%	**106.82%**
Investment Income/NPW Ratio	63.83%	85.78%	32.56%	82.88%	40.47%	414.27%	74.14%	428.92%	**114.85%**
Investment Income/Total Financial Assets	49.55%	47.77%	15.10%	141.05%	72.04%	122.85%	105.40%	90.82%	**74.57%**
Liquidity									
Working Capital	4,290	50,723	8,293	69,478	30,631	55,920	27,420	178,632	**425,388**
Current ratio	100.66%	172.85%	97.96%	290.77%	222.56%	283.39%	141.18%	401.35%	**188.96%**
Acid Test ratio	39.15%	130.17%	52.02%	64.73%	108.48%	213.53%	90.58%	361.38%	**117.75%**
Market Share of Total Liquid Assets	5.42%	15.50%	9.90%	5.26%	6.08%	12.01%	9.81%	36.02%	**100%**
Market Shares									
Market Share Based on GPW	11.09%	11.10%	9.77%	17.81%	15.08%	4.42%	16.59%	14.14%	**100%**
Market Share Based on NPW	14.53%	15.49%	8.79%	11.42%	13.13%	4.32%	23.08%	9.24%	**100%**
Market Share Based on Total Assets	13.90%	13.43%	11.62%	11.97%	7.37%	9.23%	13.08%	19.40%	**100%**

Appendix 3A

Statement of Comprehensive Income for Insurance Brokers for the year ended 31 December 2019 ($000)

	Ambassador	Armour Khan	Auto & General	Broksure	Capitol	Care	CBZ	Coverlink	Eaton & Youngs	Entwide Insurance	First link
Premium Written	96	610	563	1,058	18,868	6,172	54,159	360	19,745	1,865	0
Premium Payable	49	503	494	855	15,879	5,077	45,463	306	16,465	1,492	0
Brokerage Commission	48	108	63	204	2,989	1,095	8,696	54	3,280	373	0
less Commission paid	0	0	16	0	0	0	459	0	24	0	0
Net Brokerage Commission	48	108	47	204	2,989	1,095	8,237	54	3,256	373	0
Other Income	26	0	4	0	564	173	1,238	1,594	221	0	0
Admin Expenses	30	118	57	165	2,852	803	1,839	70	2,863	335	225
Profit Before Tax	43	-11	-6	39	701	465	8,055	1,577	615	38	-225
Taxation	7	0	0	0	69	33	598	0	258	0	0
Profit after Tax	37	-11	-7	39	632	433	7,457	1,577	357	38	-225

	First Sun Alliance	Eureka	Glenrand	Goldstick	Hostcare	HRIB	Hunt Adams	L.A. Guard	Marsh	Minerva - Risk Solutions	Momentum
Premium Written	3,397	7,200	5,618	1,523	4	68,900	38,107	5,120	47,778	133,610	11,982
Premium Payable	2,926	5,633	4,769	1,275	1	58,174	32,661	4,213	39,797	109,829	9,195
Brokerage Commission	472	1,567	849	248	0	10,726	5,446	908	8,395	23,781	2,787
less Commission paid	0	0	14	40	0	2,453	1,705	89	0	4,860	0
Net Brokerage Commission	472	1,567	835	208	0	8,273	3,741	819	8,394	18,922	2,787
Other Income	130	129	0	0	17	4	5	3	9	12,626	86
Admin Expenses	432	1,134	692	129	4	7,039	1,813	695	18,936	9,276	2,292
Profit Before Tax	170	561	143	79	0	1,238	1,934	127	-10,533	22	581
Taxation	29	0	0	3	0	319	498	33	468	5,735	151
Profit after Tax	141	561	143	76	0	919	1,436	94	-11,001	16,537	430

	Paul Mkond	Perpro	Progressive	Rainbow	Revival	Safari	TIB	WFDR	Victory	ZIB	Total
Premium Written	305	2,013	5,030	67	0	19,164	17,187	31,118	3,531	34,491	539,644
Premium Payable	268	1,593	3,852	56	0	13,450	13,777	26,516	2,952	29,164	446,683
Brokerage Commission	46	421	1,178	11	4	5,714	3,410	4,602	579	5,327	93,378
less Commission paid	9	91	50	0	0	0	0	27	0	0	9,837
Net Brokerage Commission	37	330	1,128	11	4	5,714	3,410	4,576	579	5,327	83,542
Other Income	41	420	0	0	0	651	1,937	2,018	511	126	22,532
Admin Expenses	80	421	1,457	10	10	4,665	-1,208	2,880	895	3,084	64,093
Profit Before Tax	-2	329	-330	1	-6	1,700	4,139	3,713	195	2,369	17,721
Taxation	0	8	0	0	0	0	-1,035	907	59	530	8,669
Profit after Tax	-2	320	-330	1	-6	1,700	3,104	2,806	137	1,839	29,232

Appendix 3B

Statement of Financial Position for Insurance Brokers as at 31 December 2019 ($000)

	Ambassador	Armour Khan	Auto & General	Broksure	Capitol	Care	CBZ	Coverlink	Eaton & Youngs	Eureka	Entwide	first link	First Sun Alliar	Glenrand	Goldstick	Hostcare	HRIB	Hunt Adams	L.A Guard	Marsh	Minerva - Risk S	Momentum	P.Mkondo	Perpro	Progressive	Rainbow	Revival	Safari	TIB	WFDR	Victory	ZIB	TOTAL
Equity and Liabilities																																
Equity																																
Share Capital	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Authorised Share Capital	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Issued and Paid Up Capital	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Share Capital	-	32	-	20	116	98	0	30	100	50	100	100	0	50	0	5	0	1	100	5	0	100	20	40	120	-	-	1	-	2	0	0	**1,090**
Share Premium	-	-	-	68	-	9	1,345	147	-	-	-	-	624	-	-	-	-	275	-	-	-	-	126	-	-	-	-	-	27	803	1,295	-	**4,720**
Non-Distributable Reserves	-	100	-	12	3,195	-	18	-	5,192	57	67	-	2,220	154	151	4	3,587	262	1,013	27	2,116	325	28	20	130	-	470	136	244	48	-	4,092	**23,667**
Retained Income	-	9	-	39	1,151	482	6,469	1,476	1,291	669	38	- 225	211	356	76	3	4,420	1,390	644	- 10,024	16,713	612	- 2	571	- 153	-	-	1,834	178	2,261	137	1,996	**32,622**
Owners Equity	**-**	**141**	**-**	**139**	**4,462**	**848**	**7,832**	**1,653**	**6,583**	**775**	**205**	**- 125**	**3,056**	**3,201**	**4,468**	**12**	**11,527**	**1,928**	**1,757**	**- 9,993**	**19,285**	**1,037**	**172**	**631**	**98**	**-**	**470**	**1,971**	**449**	**3,113**	**1,432**	**6,138**	**73,265**
Non-current liabilities: (Specify them)																																
Deffered tax	-	-	-	-	6	2	-	-	-	-	-	-	-	10	-	-	24	-	-	-	-	-	-	-	-	-	-	85	59	537	-	3	**727**
Bank overdraft	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	36	-	-	-	-	342	-	12	23	-	-	-	-	-	-	-	**413**
Borrowings	-	-	-	-	-	2	-	-	-	-	-	481	-	10	-	2	-	286	546	-	-	-	-	7	451	-	-	-	-	-	-	-	**1,786**
Current liabilities																																
Payable Premiums	-	378	-	320	1,900	133	-	35	1,894	663	27	-	926	525	559	-	7,485	3,682	296	5,600	2,814	484	26	-	2,063	-	0	3,528	-	15,127	72	1,867	**50,401**
Other Liabilities	-	-	-	-	58	-	527	-	-	-	11	-	26	-	52	-	121	-	345	-	62	-	-	-	74	-	-	4,438	-	-	-	74	**5,787**
Brokers commision payable	-	-	-	-	-	-	664	-	-	-	-	-	-	40	-	-	282	345	-	-	-	-	-	-	-	-	-	-	-	-	-	-	**1,330**
Provisions	-	-	-	-	38	-	-	-	-	3	-	-	-	10	-	-	-	547	-	367	4,606	71	-	-	-	-	-	-	7,464	368	-	-	**13,472**
Sundry creditors	-	-	-	-	-	-	-	-	-	624	-	-	-	292	-	-	-	-	-	18,810	-	-	-	-	3	-	-	-	-	-	-	-	**19,729**
Taxation	-	-	-	-	-	33	598	-	258	46	-	-	-	-	3	-	60	498	-	70	-	151	-	-	-	-	0	-	-	-	-	181	**1,898**
Other	-	-	-	-	84	5	-	27	-	61	-	-	-	17	-	360	1	-	335	1,381	14,824	-	7	6	255	-	15	-	-	-	-	-	**17,377**
Total Current Liabilities	**-**	**378**	**-**	**320**	**2,079**	**137**	**1,338**	**62**	**1,904**	**1,396**	**37**	**-**	**952**	**883**	**611**	**-**	**7,948**	**4,574**	**975**	**26,228**	**22,306**	**554**	**32**	**6**	**2,394**	**-**	**15**	**7,966**	**7,523**	**15,494**	**72**	**2,123**	**108,309**
Total Equity & Liabilities	**-**	**518**	**-**	**459**	**6,548**	**988**	**9,170**	**1,715**	**8,486**	**2,172**	**243**	**356**	**4,008**	**4,094**	**5,079**	**374**	**16,015**	**6,788**	**3,278**	**16,235**	**41,591**	**1,934**	**204**	**656**	**2,966**	**-**	**485**	**10,022**	**8,022**	**19,144**	**1,504**	**8,265**	**181,319**
Assets																																
Non - Current Assets																																
Property and Equipment	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	32	-	**32**
Land & Buildings	-	-	-	-	2,416	318	119	-	4,709	46	30	-	2,355	233	4,480	330	480	-	374	150	-	-	85	-	180	-	170	147	-	-	309	3,802	**20,733**
Furniture and Fittings	-	27	-	14	435	9	75	-	10	2	21	104	12	162	17	12	32	8	286	23	1,250	19	8	136	14	-	13	47	4	36	71	106	**2,954**
Motor Vehicles	-	33	-	20	595	-	50	-	-	0	70	-	308	268	-	-	251	1,080	240	50	617	119	3	251	59	-	30	828	9	212	406	252	**5,749**
Computer Equipment	-	5	-	15	372	11	26	-	645	24	10	76	5	69	-	18	222	10	450	10	360	9	3	123	10	-	12	31	10	37	48	574	**3,185**
Computer Software	-	3	-	0	-	-	144	-	-	-	6	-	2	76	-	-	18	-	74	0	-	10	-	4	1	-	5	-	-	-	80	-	**425**
Investments	-	-	-	27	162	3	-	1,669	424	-	100	-	188	172	-	-	-	-	940	-	-	100	45	-	55	-	245	-	2,800	-	335	269	**7,532**
Other	-	-	-	-	-	5	-	27	-	19	-	-	-	17	-	-	-	-	-	-	-	-	7	-	-	-	15	307	58	-	100	-	**554**
Total Non- Current Assets	**-**	**143**	**-**	**77**	**3,980**	**341**	**414**	**1,669**	**5,787**	**54**	**237**	**181**	**2,869**	**2,980**	**4,497**	**360**	**1,187**	**1,153**	**2,364**	**233**	**2,227**	**380**	**144**	**514**	**319**	**-**	**475**	**1,474**	**2,896**	**286**	**1,380**	**5,002**	**43,621**
Current Assets																																
Commission Receivable	-	108	-	-	-	176	1,995	-	-	-	3	-	139	-	-	13	-	-	450	2,351	-	1,215	-	-	1,137	-	-	-	-	-	14	1,006	**8,606**
Premium Receivables	-	-	-	158	-	-	-	-	-	-	-	-	-	670	-	-	6,697	860	-	1,175	681	-	-	-	-	-	-	3,172	-	14,185	-	-	**27,599**
Accured Investment Income	-	-	-	-	-	-	-	-	-	761	3	-	787	-	-	-	-	-	-	-	-	78	-	-	-	-	-	-	-	-	11	-	**1,641**
Other Debtors & Inventory	-	10	-	-	160	31	-	9	36	356	1	-	-	-	-	-	3,241	220	391	675	4,197	30	29	-	1,513	-	-	1,177	-	73	14	183	**12,346**
Cash & Cash Equivalents	-	258	-	223	2,408	441	6,762	37	2,663	1,001	-	175	212	443	581	2	1,370	4,555	74	11,801	34,485	230	31	142	- 3	-	10	2,785	5,126	4,601	85	2,074	**82,574**
Total Current Assets	**-**	**375**	**-**	**382**	**2,568**	**648**	**8,756**	**46**	**2,699**	**2,118**	**6**	**175**	**1,138**	**1,113**	**581**	**-**	**11,309**	**5,635**	**914**	**16,002**	**39,364**	**1,554**	**61**	**142**	**2,647**	**-**	**10**	**7,134**	**5,126**	**18,859**	**124**	**3,262**	**132,751**
Total Assets	**-**	**518**	**-**	**459**	**6,548**	**988**	**9,170**	**1,715**	**8,486**	**2,172**	**243**	**356**	**4,008**	**4,094**	**5,079**	**374**	**16,015**	**6,788**	**3,278**	**16,235**	**41,591**	**1,934**	**204**	**656**	**2,966**	**-**	**485**	**8,608**	**8,022**	**19,144**	**1,504**	**8,265**	**179,906**

IPEC 2019 **Fourth Quarter** Short Term (Non-Life) Insurance Report

Appendix 4A

Statement of Comprehensive Income for Reinsurance Brokers for the twelve months ended 31 December 2019 ($000)

	Afro - Asian	Capitol Re	Classic Re	Marsh	Minerva Re	Pan African	RBI	Total
Gross Premium Receivable	8,333,297.71	22,801,270.00	-	36,771,945.00	218,488,244.00	39,330,546.00	5,939,502.83	331,664,805.54
Gross Premium Payable	7,940,169.18	22,176,507.00	-	18,401,293.00	156,125,219.00	38,230,262.00	5,778,627.84	248,652,078.02
Brokerage Commission	**393,128.53**	**624,763.00**	**-**	**18,370,652.00**	**62,363,025.00**	**1,100,284.00**	**160,874.99**	**83,012,727.52**
less Commission paid	-	-	-	15,327,638.00	55,489,948.00	-	-	70,817,586.00
Net Brokerage Commission	**393,128.53**	**624,763.00**	**-**	**3,043,014.00**	**5,631,290.00**	**1,100,284.00**	**160,874.99**	**10,953,354.52**
Other Income	1,981,501.58	58,843.00	91,254.60	4,065.00	17,866,475.00	-	35,487.22	20,037,626.40
Less Administration expenses	443,782.96	490,208.00	87,604.42	4,080,971.00	5,353,543.00	901,091.00	69,480.00	11,426,680.38
Profit Before Tax	**1,930,847.15**	**193,398.00**	**3,650.18**	**- 1,033,892.00**	**18,144,222.00**	**199,193.00**	**126,882.21**	**19,564,300.54**
Taxation	-	34,647.00	-	188,959.00	4,672,137.00	58,986.00	32,672.17	4,987,401.17
Profit after Tax	**1,930,847.15**	**158,751.00**	**3,650.18**	**- 1,222,851.00**	**13,472,085.00**	**140,207.00**	**94,210.04**	**14,576,899.37**

Appendix 4B

Statement of Financial Position for Reinsurance Brokers as at 31 December 2019 ($000)

	Afro - Asian	Capitol Re	Classic Re	Marsh	Minerva Re	Pan African	RBI	Total
Equity and Liabilities								
Share Capital	1,000.00	2,000.00	800,000.00		4.00	1,000.00	200,000.00	1,004,004.00
Share Premium	265,539.22	118,638.00	1,200,000.00		-	70,000.00	48,780.00	1,702,957.22
Non-Distributable Reserves	-	164,608.00	1,006,635.00		16,467,587.00	-	100,000.00	17,738,830.00
Retained Income	1,808,520.71	176,288.00	- 42,739.82	- 1,035,888.00	9,267.00	3,396,923.00	56,644.00	4,369,014.89
Owners Equity	**2,075,059.93**	**461,534.00**	**2,963,895.18**	**- 1,035,888.00**	**16,476,858.00**	**3,467,923.00**	**405,424.00**	**24,814,806.11**
Non-current liabilities: (Specify them)						-	-	
Deffered tax	7,815.21	-	-	-	-	-	-	7,815.21
Bank overdraft	-	-	-	-	-	-	-	-
Borrowings	-	-	-	-	-			-
Current liabilities								
Payable Premiums	5,045,769.31	6,006,496.00	-	6,010,346.00	215,877,921.00	28,891,241.00	3,345,212.00	265,176,985.31
Other Liabilities	163,287.91	141,634.00	-	3,790,027.00	41,996.00	-	-	4,136,944.91
Brokers commision payable	-	-	-	-	-	-	-	-
Provisions	-	8,310.00	-	-	852,773.00	110,241.00	-	971,324.00
Sundry creditors	-	-	-	2,100.00	-	43,287.00	-	45,387.00
Taxation	44,678.87	-	-	-	-	-	-	44,678.87
Other	1,880.89	-	-	83,915.00	3,742,835.00	151,339.00	418,752.00	4,398,721.89
Total Current Liabilities	5,255,616.98	6,156,440.00	-	9,886,388.00	220,515,525.00	29,196,108.00	3,763,964.00	274,774,041.98
Total Equity & Liabilities	**7,338,492.12**	**6,617,974.00**	**2,963,895.18**	**8,850,500.00**	**236,992,383.00**	**32,664,031.00**	**4,169,388.00**	**299,596,663.30**
Assets								
Non - Current Assets								
Property and Equipment	-	-	-	-	-	23,176.00	-	**23,176.00**
Land & Buildings	-	-	2,052,000.00	-	-	3,120,000.00	-	**5,172,000.00**
Furniture and Fittings	1,874.28	32,261.00	297,422.73	-	13,026.00	49,568.00	-	**394,152.01**
Motor Vehicles	-	168,675.00	-	-	111,150.00	113,432.00	-	**393,257.00**
Computer Equipment	295.13	11,900.00	42,080.50	-	28,136.00	30,569.00	326.00	**113,306.63**
Computer Software	-	-	-	-	-	-	-	-
Investments	2,107,851.04	140,070.00	-	-	-	-	492,227.00	**2,740,148.04**
Other	-	-	-	1,732.00	-	-	-	**1,732.00**
Total Non- Current Assets	**2,110,020.45**	**352,906.00**	**2,391,503.23**	**1,732.00**	**152,312.00**	**3,336,745.00**	**492,553.00**	**8,837,771.68**
Current Assets								
Commission Receivable	-	-	-	484,989.00	-	-	-	**484,989.00**
Premium Receivables	4,683,390.84	-	-	-	215,917,526.00	1,100,654.00	-	**221,701,570.84**
Accured Investment Income	-	-	-	-	-	-	-	-
Other Debtors & Inventory	1,380.43	4,595,873.00	31,200.00	-	32,838.00	248,700.00	3,220,300.00	**8,130,291.43**
Cash & Cash Equivalents	543,700.40	1,669,194.00	541,191.95	8,363,780.00	20,889,708.00	27,977,931.00	456,535.00	**60,442,040.35**
Total Current Assets	**5,228,471.67**	**6,265,067.00**	**572,391.95**	**8,848,768.00**	**236,840,071.00**	**29,327,286.00**	**3,676,835.00**	**290,758,890.62**
Total Assets	**7,338,492.12**	**6,617,973.00**	**2,963,895.18**	**8,850,500.00**	**236,992,383.00**	**32,664,031.00**	**4,169,388.00**	**299,596,662.30**

Appendix 5

List of registered loss assessors/adjusters as at 31 December 2019

No.	NAME OF ASSESSOR/ADJUSTOR
1	Alpha & Omega Risk Management
2	Autoplan Risk Management
3	AVS Risk Consultants
4	Brilliant Assessors
5	Campbell & Prevost
6	Centurion Insurance and Risk
7	Diverse International Rick Management
8	Fornicle Risk Management
9	Golden Gate Risk and Loss Assessors
10	Guarantee Risk Management
11	Independent Loss Adjusters (Pvt) Ltd
12	Keneg Risk & Loss Consultancy
13	Lane Risk Management
14	Light to Light Loss Adjusters (Pvt) Ltd
15	LM Consultancy (Pvt) Ltd
16	Lycerine Risk Services International
17	Marin Assessors (Pvt) Ltd
18	Markar Loss Assessors
19	Mashonaland Risk Management
20	Milenium Risk Management
21	Mornglows Assessors
22	National Loss Adjusters (Pvt) Limited
23	New Generation Loss Adjusters
24	On Time Assessors (Pvt) Ltd
25	Persam Loss Assessors
26	Platinum Loss Adjusters (Pvt) Ltd
27	Ponnez Risk Management
28	Prefered Loss Assessors
29	Skilled Claim Assessors (Pvt) Limited
30	Smart Risk Management
31	Tripple T Mand Loss Adjusters
32	Tritate Risk Management Consultant
33	Vision Insurance Assessors
34	Wave Risk Management
35	Prestige Loss Adjustors (Pvt)
36	Lagoon Loss Assessors

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